NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)

CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025 AND
INDEPENDENT AUDITOR’S REPORT

NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

Independent auditor's report to the shareholders of National Industrialization Company

Report on the audit of the consolidated financial statements

Our opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of National Industrialization Company (the "Company") and its subsidiaries (together the "Group") as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards, that are endorsed in the Kingdom of Saudi Arabia, and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA).

What we have audited

The Group's consolidated financial statements comprise:

- the consolidated statement of financial position as at 31 December 2025;
- the consolidated statement of profit or loss for the year then ended;
- the consolidated statement of comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the consolidated statement of cash flows for the year then ended; and
- the notes to the consolidated financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence
We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), endorsed in the Kingdom of Saudi Arabia (the "Code"), as applicable to audits of financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code's requirements.

Our audit approach

Overview

Key Audit Matters	• Accounting for acquisition of Saudi Acrylic Monomers Company ("SAMCO") • Assessment of impairment of property, plant and equipment, projects under progress, right-of-use assets and investments in equity accounted associates and joint ventures • Accounting for restructuring of loans from commercial banks

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the consolidated financial statements. In particular, we considered where management made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

Independent auditor's report to the shareholders of National Industrialization Company (continued)

Our audit approach (continued)

Overview (continued)

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the Key audit matter
Accounting for acquisition of Saudi Acrylic Monomers Company ("SAMCO") At 31 December 2024, the Group acquired the remaining 25% shares and control of SAMCO, previously a joint venture, to become its 100% owner. The acquisition was accounted for in accordance with IFRS 3 'Business Combinations', that is endorsed in the Kingdom of Saudi Arabia. As required by IFRS 3, the Group had accounted for the acquisition based on provisional fair values of the acquired assets and assumed liabilities as at the acquisition date. During the year, the Group has finalised the acquisition accounting for SAMCO, resulting in a final bargain purchase gain of Saudi Riyals 317 million and a loss on fair valuation of existing interest in SAMCO of Saudi Riyals 416 million. We considered this to be a key audit matter given the complexity of accounting for business combination and significant management assumptions involved in: (i) the determination of fair values of assets acquired and liabilities assumed; and (ii) the determination of cash flow forecasts, discount rate and terminal growth rate used in determining the economic obsolescence of the tangibles assets acquired and the fair value of the existing interest in SAMCO. Refer to Note 5.1 to the consolidated financial statements for the accounting policy relating to business combinations, Note 6 for the disclosure of significant accounting judgements, estimates and assumptions, and Note 45 for the disclosures of matters related to business combinations.	We performed the following procedures: • Obtained and reviewed the purchase price allocation performed by management's expert; • Evaluated the competence, objectivity, and capabilities of management's experts based on their professional qualifications and experience and assessed their independence; • Assessed the appropriateness of the management's use of the Discounted Cash Flow ("DCF") model for determining the economic obsolescence of the property, plant and equipment and fair value of the Group's existing interest in SAMCO; • Involved our internal valuation expert to assist us in assessing the appropriateness of methodology used, including testing the reasonableness of the relevant discount rate and long-term growth rate used in the DCF model; • Checked the reasonableness of management's assumptions underlying the cash flows such as expected product prices and EBITDA margins with approved business plans; • Performed sensitivity analyses over key assumptions, principally growth rate and discount rate, in order to assess the potential impact of a range of possible outcomes; and • Considered the appropriateness of the related disclosures in the consolidated financial statements.

Independent auditor's report to the shareholders of National Industrialization Company (continued)

Our audit approach (continued)

Key audit matters (continued)

Key audit matter	How our audit addressed the Key audit matter
Assessment of impairment of property, plant and equipment, projects under progress, right-of-use assets and investments in equity accounted associates and joint ventures At 31 December 2025, the Group had property, plant and equipment of Saudi Riyals 2,866 million, projects under progress of Saudi Riyals 68 million, right-of-use assets of Saudi Riyals 94 million and investments in equity accounted associates and joint ventures of Saudi Riyals 10,051 million. Management performs an assessment at each reporting period to consider whether there are any events or circumstances (impairment triggers) that indicate that the carrying amounts of these assets, or cash generating units ("CGUs") may not be recoverable. If any such indication exists, management estimates the recoverable amounts of the relevant assets, or the CGUs to record the related impairment charge. The determination of the recoverable amounts, being the higher of value-in-use and fair value less costs of disposal, requires management to identify and then estimate the recoverable amounts of the assets or the CGUs to which the assets belong. Recoverable amounts, in case of value-in-use, are based on management's view of key inputs such as future business growth in the forecasted period as well as the external market conditions, terminal growth rates and the most appropriate discount rates. Specific assets, or the CGUs to which the assets belong, where management identified the impairment indicators included the following: - In respect of Slagger CGU, management determined that the recoverable amount was less than the carrying value resulting in an impairment loss of Saudi Riyals 1,768 million as at 31 December 2025. - In respect of SAMCO CGU, management determined that the recoverable amount was less than the carrying value resulting in an impairment loss of Saudi Riyals 340 million as at 31 December 2025. - In respect of one of the equity accounted associates – Tronox, recorded an impairment loss amounting to SR 464 million, mainly representing an adjustment to the acquisition-related uplifts included in the carrying amount at the Group level. We considered this as a key audit matter given the judgement involved in identifying impairment triggers and the complexity inherent in estimating the recoverable amount of these assets. Refer to Note 5.11 to the consolidated financial statements for the accounting policy relating to the impairment of these assets, Note 6 for the disclosure of significant accounting judgements, estimates and assumptions, Note 8, Note 9, Note 10 and Note 12.1.1 for the disclosures of matters related to impairment considerations of the respective assets, or the CGUs.	We performed the following procedures: - Assessed the reasonableness of management's identification of impairment indicators, which included evaluating the design and implementation of key controls over the impairment assessment processes comprising impairment indicators identification and the estimation of recoverable amounts of the assets, or the CGUs where impairment indicators have been identified; - For the value-in-use models, we assessed the methodology used by management to estimate the value-in-use along with the appropriateness of the input data used in the discounted cash flow models. This included: i. checking, on a sample basis, that the input data in the discounted cash flow models agreed to supporting documentation, such as the approved business plans, comparing with the historical results and the market data, particularly with respect to sales pricing, and comparing the current year's actual results with its forecast; ii. testing the reasonableness of key assumptions such as the future business growth in the forecasted period, terminal growth rates and discount rates. Our internal valuation experts were engaged to assist us in the assessment of the reasonableness of the methodology underlying the value-in-use calculations, the reasonableness of discount rates and terminal growth rates assumed in the models and the mathematical accuracy of the models; - Performed sensitivity analyses over assumptions used in the calculation of the value-in-use in order to determine the key assumptions to focus on and to assess the potential impact of a range of possible outcomes; - Evaluated the competence, objectivity, and capabilities of management's experts used for the valuation of Tronox based on their professional qualifications and experience and assessed their independence; and - Considered the appropriateness of the related accounting policies and disclosures in the consolidated financial statements.

Independent auditor's report to the shareholders of National Industrialization Company (continued)

Our audit approach (continued)

Key audit matters (continued)

Key audit matter	**How our audit addressed the Key audit matter**
Accounting for the restructuring of loans from commercial banks During the year ended 31 December 2025, the Group completed the restructuring of loans from commercial banks relating to certain subsidiaries of the Group. As part of this restructuring, the lenders participated in a prepayment and waiver process and agreed to a partial waiver of loans amounting to SR 1,011 million by settling loans of SR 1,761 million against prepayment of SR 750 million. The remaining loans amounting to SR 1,309 million were refinanced at a preferential profit rate and extended repayment period. The restructuring was accounted for as a substantial modification resulting in the derecognition of the existing liability and recognition of a new liability at its fair value calculated as the present value of the estimated future cash flows using an appropriate discount rate representative of the market conditions existing at the restructuring effective date. We considered this to be a key audit matter because of significant management judgments, estimates and assumptions involved in: i) determining whether the Group was legally released from its obligations; ii) assessing whether the revised contractual cashflows resulted in modification or extinguishment of the liability; and iii) determining the fair value of the new facilities including estimating the related market rate of interest. Refer to Note 5.20 to the consolidated financial statements for the accounting policy relating to financial instruments, Note 6 for the disclosure of significant accounting judgements, estimates and assumptions, and Note 25.2 for the disclosures of matters related to loans from commercial banks.	We performed the following procedures: - Inspected the legal documentation including the new commercial loan agreements to understand the amended terms, the timing of effectiveness of the restructuring, and settlement and refinancing mechanism; - Tested the cash payments made to participating lenders and inspected evidence supporting the waiver/release of the remaining commercial loan obligations arising from the settlement process; - Evaluated management's assessment of extinguishment of the existing liability, including accounting for restructuring fees and costs and checked the calculation of the resulting gain; - With the involvement of our internal valuation expert, assessed the methodology used to determine the fair value of the refinanced commercial loans at initial recognition, including evaluating key assumptions used in estimating the market rate of interest; and - Considered the appropriateness of the related accounting policies and disclosures in the consolidated financial statements.

Independent auditor's report to the shareholders of National Industrialization Company (continued)

Other information

Management is responsible for the other information. The other information comprises the Annual Report but does not include the consolidated financial statements and our auditor's report thereon, which is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards, that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, and the applicable requirements of the Regulations for Companies and the Company's By-laws, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, i.e., the Board of Directors, are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

Independent auditor's report to the shareholders of National Industrialization Company (continued)

Auditor's responsibilities for the audit of the consolidated financial statements (continued)

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

PricewaterhouseCoopers

Bader I. Benmohareb
License No. 471

15 March 2026

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NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
Consolidated Statement of Financial Position
As at 31 December 2025
(All amounts in SR'000 unless otherwise stated)

	Note	2025	2024
ASSETS			
Non-current assets			
Property, plant and equipment	8	**2,866,424**	5,185,921
Projects under progress	9	**67,660**	467,928
Right-of-use assets	10	**94,125**	161,325
Intangible assets	11	**165,714**	163,193
Investments in equity accounted associates and joint ventures	12	**10,051,394**	10,750,736
Investments in financial assets designated as FVOCI	13	**987,112**	961,434
Investments in debt securities	14	**176,202**	126,110
Other non-current assets	15	**892,464**	787,148
Total non-current assets		**15,301,095**	18,603,795
Current assets			
Inventories	16	**801,209**	847,542
Accounts receivable	17	**996,274**	1,257,499
Prepayments and other current assets	18	**600,099**	841,463
Short term investments	19	**-**	486,000
Cash and bank balances	20	**2,018,200**	4,089,652
Total current assets		**4,415,782**	7,522,156
Assets classified as held for sale	46	**1,102,343**	-
Total assets		**20,819,220**	26,125,951
EQUITY AND LIABILITIES			
Equity			
Share capital	21	**6,689,142**	6,689,142
Statutory reserve	22	**668,914**	668,914
Treasury shares	21	**(49,315)**	-
Other reserves	23	**(512,134)**	(648,547)
Retained earnings		**1,030,132**	2,813,938
Equity attributable to the equity holders of parent		**7,826,739**	9,523,447
Non-controlling interests	24	**2,329,460**	2,245,019
Total equity		**10,156,199**	11,768,466
Liabilities			
Non-current liabilities			
Long-term borrowings	25	**2,996,368**	3,979,593
Employee benefits obligations	26	**658,997**	605,551
Lease liabilities	27	**128,387**	155,100
Other non-current liabilities	28	**878,238**	1,067,143
Total non-current liabilities		**4,661,990**	5,807,387
Current liabilities			
Long-term borrowings - current portion	25	**2,373,556**	4,675,401
Lease liabilities - current portion	27	**25,768**	29,734
Accounts payable	29	**1,034,602**	1,511,588
Accruals, provisions and other current liabilities	30	**1,293,341**	1,375,603
Zakat and income tax payable	31	**885,096**	957,772
Total current liabilities		**5,612,363**	8,550,098
Liabilities relating to assets classified as held for sale	46	**388,668**	-
Total liabilities		**10,663,021**	14,357,485
Total equity and liabilities		**20,819,220**	26,125,951

Chief Financial Officer | Chief Executive Officer | Authorized Board Member

The accompanying notes from (1) to (49) form an integral part of these consolidated financial statements.
Refer note 45 for comparative information.

NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
Consolidated Statement of Profit or Loss
For the year ended 31 December 2025
(All amounts in SR'000 unless otherwise stated)

	Note	2025	2024
Continuing Operations			
Revenue	32	2,488,722	3,024,079
Cost of revenue	33	(2,403,365)	(2,939,578)
Gross profit		85,357	84,501
Selling and distribution expenses	34	(168,489)	(154,231)
General and administrative expenses	35	(339,162)	(279,476)
Impairment of non-financial assets	11 & 45	(2,108,056)	(364,284)
Gain on business combination	45	-	317,344
Loss on fair valuation of existing interest in a joint venture	45	-	(416,109)
Impairment of financial assets, net	15, 17 & 30	(7,152)	(2,326)
Share of (loss) / profit from associates and joint ventures, net	12	(821,748)	493,565
Operating loss		(3,359,250)	(321,016)
Other income, net	36	128,646	130,216
Finance costs	37	(374,807)	(379,940)
Finance income	37	170,410	252,096
Gain on debt restructuring, net	25	2,028,980	-
Loss before zakat and income tax from continuing operations		(1,406,021)	(318,644)
Zakat and income tax	31	(85,298)	(6,424)
Loss for the year from continuing operations		(1,491,319)	(325,068)
Discontinued operations			
Profit for the year from discontinued operations	46	25,151	47,436
Loss for the year		(1,466,168)	(277,632)
Attributable to:			
Equity holders of parent		(1,765,250)	(27,929)
Non-controlling interests	24	299,082	(249,703)
		(1,466,168)	(277,632)
Basic and diluted (loss) per share (SR)	38		
Loss attributable to equity holders of parent		(2.64)	(0.04)
Loss from continuing operations attributable to equity holders of parent		(2.67)	(0.11)

Chief Financial Officer

Chief Executive Officer

Authorized Board Member

The accompanying notes from (1) to (49) form an integral part of these consolidated financial statements.
Refer notes 45 and 46 for comparative information.

NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
Consolidated Statement of Comprehensive Income
For the year ended 31 December 2025
(All amounts in SR'000 unless otherwise stated)

	Note	2025	2024
Loss for the year		(1,466,168)	(277,632)
Other comprehensive income / (loss)			
Items that may be reclassified to profit or loss in subsequent periods:			
Cash flow hedge reserve	23	(23,107)	(9,800)
Share of other comprehensive income/ (loss) from associates and joint ventures, net	23	174,938	(71,153)
Total items that may be reclassified to profit or loss in subsequent periods		151,831	(80,953)
Items that will not be reclassified to profit or loss in subsequent periods:			
Re-measurement of defined benefit plans	23, 26	(28,585)	5,034
Gain / (loss) from investments in financial assets designated as FVOCI	13, 23	28,891	(67,596)
Share of other comprehensive income from associates and joint ventures, net	23	1,767	9,439
Total items that will not be reclassified to profit or loss in subsequent periods		2,073	(53,123)
Total other comprehensive income / (loss) for the year		153,904	(134,076)
Total comprehensive loss for the year		(1,312,264)	(411,708)
Attributable to:			
Equity holders of Parent		(1,647,393)	(149,595)
Non-controlling interests	24	335,129	(262,113)
		(1,312,264)	(411,708)

Chief Financial Officer | Chief Executive Officer | Authorized Board Member

The accompanying notes from (1) to (49) form an integral part of these consolidated financial statements.
Refer note 45 for comparative information.

NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
Consolidated Statement of Changes in Equity
For the year ended 31 December 2025
(All amounts in SR'000 unless otherwise stated)

	Equity attributable to equity holders of Parent							
	Share capital (note 21)	Statutory reserve (note 22)	Treasury Shares (note 21)	Other reserves (note 23)	Retained earnings	Total shareholders' equity	Non-controlling interests (note 24)	Total equity
As at 1 January 2024	6,689,142	1,574,243	-	(523,344)	1,936,538	9,676,579	2,511,539	12,188,118
Loss for the year	-	-	-	-	(27,929)	(27,929)	(249,703)	(277,632)
Other comprehensive loss	-	-	-	(121,666)	-	(121,666)	(12,410)	(134,076)
Total comprehensive loss for the year	-	-	-	(121,666)	(27,929)	(149,595)	(262,113)	(411,708)
Acquisition of non-controlling interests (note 1.1)	-	-	-	(3,537)	-	(3,537)	(4,407)	(7,944)
Transfer from statutory reserve (note 22)	-	(905,329)	-	-	905,329	-	-	-
As at 31 December 2024	6,689,142	668,914	-	(648,547)	2,813,938	9,523,447	2,245,019	11,768,466
Profit / (loss) for the year	-	-	-	-	(1,765,250)	(1,765,250)	299,082	(1,466,168)
Other comprehensive income	-	-	-	117,857	-	117,857	36,047	153,904
Total comprehensive (loss) / income for the year	-	-	-	117,857	(1,765,250)	(1,647,393)	335,129	(1,312,264)
Purchase of treasury shares (note 21)	-	-	(49,315)	-	-	(49,315)	-	(49,315)
Transfer on disposal of FVOCI investment	-	-	-	18,556	(18,556)	-	-	-
Dividend paid by subsidiaries to non-controlling interests	-	-	-	-	-	-	(250,688)	(250,688)
As at 31 December 2025	6,689,142	668,914	(49,315)	(512,134)	1,030,132	7,826,739	2,329,460	10,156,199

Chief Financial Officer

Chief Executive Officer

Authorized Board Member

The accompanying notes from (1) to (49) form an integral part of these consolidated financial statements.
Refer note 45 for comparative information.

NATIONAL INDUSTRIALIZATION COMPANY
(A Saudi Joint Stock Company)
Consolidated Statement of Cash Flows
For the year ended 31 December 2025
(All amounts in SR'000 unless otherwise stated)

	Note	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss) / profit before zakat and income tax			
- from continuing operations		**(1,406,021)**	(318,644)
- from discontinued operations		**35,425**	54,161
Adjustments for:			
Depreciation and amortization	8,11	**399,990**	252,008
Right-of-use assets depreciation	10	**29,518**	28,585
Amortization of deferred settlement income	28.1	**(18,964)**	(18,934)
Impairment of non-financial assets	11	**2,108,056**	364,284
Gain on business combination	45	**-**	(317,344)
Loss on fair valuation of existing interest in a joint venture	45	**-**	416,109
Share of net loss / (profit) from equity accounted associates and joint ventures	12	**821,748**	(493,565)
Provision for slow moving inventories	16	**11,048**	3,888
Impairment / (reversal) of financial assets, net	15 & 17	**11,484**	(5,472)
Employee benefits expenses	26	**45,382**	33,151
Income on Sukuk		**(8,157)**	(6,833)
Finance costs		**375,427**	382,108
Finance income		**(165,211)**	(254,585)
Gain on debt restructuring, net		**(2,028,980)**	
Changes in operating assets and liabilities:			
Other non-current assets		**40,680**	57,888
Inventories		**(100,342)**	47,498
Accounts receivable		**(8,217)**	(276,062)
Prepayments and other current assets		**181,556**	(120,580)
Other non-current liabilities		**(36,844)**	(60,890)
Accounts payable		**(341,149)**	446,857
Accruals, provisions and other current liabilities		**39,049**	(17,345)
Cash (used in) / generated from operations		**(14,522)**	196,283
Employee benefits paid	26	**(26,862)**	(51,150)
Zakat and income tax paid	31	**(164,073)**	(215,446)
Net cash used in operating activities		**(205,457)**	(70,313)
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment	8	**(45,996)**	(74,313)
Proceeds from disposal of property, plant and equipment	8	**-**	10,645
Additions to projects under progress	9	**(266,499)**	(92,017)
Additions to intangible assets	11	**(26,344)**	(25,622)
Investments in debt securities	14	**(50,000)**	-
Short term investments	19	**486,000**	194,000
Finance income received		**165,407**	218,774
Dividends from equity accounted associates and joint ventures	12	**441,849**	943,002
Acquisition of non-controlling interests		**-**	(7,944)
Net cash acquired on acquisition	45 & 20	**-**	135,598
Movement in restricted cash	20.2	**302,244**	-
Additions to long term interests in joint ventures	12 & 15	**(464,142)**	(447,498)
Net cash generated from investing activities		**542,519**	854,625
CASH FLOWS FROM FINANCING ACTIVITIES			
Repayment of long-term borrowings		**(1,254,420)**	(300,393)
Finance costs paid		**(327,251)**	(290,698)
Payment of principal portion of lease liabilities	27	**(41,721)**	(36,743)
Repayment of loan to related party		**(56,551)**	-
Dividend paid by subsidiaries to non-controlling interests	24	**(250,688)**	-
Purchase of treasury shares		**(49,315)**	-
Net cash used in financing activities		**(1,979,946)**	(627,834)
Net change in cash and cash equivalents		**(1,642,884)**	156,478
Cash and cash equivalents at the beginning of the year		**3,787,408**	3,630,930
Cash and cash equivalents at end of the year – unrestricted		**2,144,524**	3,787,408
Cash and cash equivalents	20	**2,018,200**	3,787,408
Cash and cash equivalents (included in assets held for sale)	46	**126,324**	-
Cash and cash equivalents at the end of the year		**2,144,524**	3,787,408

Chief Financial Officer | Chief Executive Officer | Authorized Board Member

The accompanying notes from (1) to (49) form an integral part of these consolidated financial statements.
Refer note 44 for non-cash transactions and note 45 & 46 for comparative information.

(All amounts in SR'000 unless otherwise stated)

1. STATUS AND NATURE OF ACTIVITIES

National Industrialization Company (the "Company" or "Tasnee" or "Parent") is a Saudi Joint Stock Company registered in Riyadh, Saudi Arabia under Commercial Registration no. 1010059693 dated 7 Shawwal 1405H (corresponding to 25 June 1985G). The Company was formed pursuant to the Ministerial Resolution no. 601 dated 24 Dhul Hijja 1404H (corresponding to 19 September 1984G).

The principal activities of the Company and its subsidiaries (collectively referred to as "the Group") comprises of industrial investment and transfer of advanced industrial technology to the Kingdom of Saudi Arabia. The Group operates in the manufacturing and marketing of products in various segments including petrochemicals, chemicals, metals, wires, plastics and industrial and automotive batteries. Additionally, the Group also provides the technical industrial services to engineering and mechanical sectors.

The registered office address is:
National Industrialization Company
P. O. Box 26707
Riyadh 11496, Kingdom of Saudi Arabia

1.1 Subsidiaries

The following are the subsidiaries included in these consolidated financial statements and the combined direct and indirect ownership percentages:

		Effective Shareholding (%)	
Company Name	**Legal Form**	**2025**	**2024**
<u>**Companies classified as discontinued operations (note 46)**</u>			
Al Rowad Industrial Transformation Company ("RITC")	Limited liability	**100.00**	100.00
Rowad National Plastic Company ("RNP")	Limited liability	**100.00**	100.00
Rowad United Marketing Company ("RUMC")	Limited liability	**100.00**	100.00
Rowad International Geosynthetics Company Limited ("RIG")	Limited liability	**100.00**	100.00
Rowad Global Packing Company Ltd ("RGP")	Limited liability	**100.00**	100.00
Taldeen Plastic Solution Company Ltd. ("Taldeen")	Limited liability	**100.00**	100.00
<u>**Continuing operations**</u>			
Green Future Industrial Company ("GFIC")	Limited liability	**100.00**	100.00
National Lead Smelting Company Ltd. ("Rassas")	Limited liability	**100.00**	100.00
National Marketing and Industrial Services Company ("Khadamat II")	Limited liability	**100.00**	100.00
National Batteries Company ("NBC")	Limited liability	**90.00**	90.00
Al Khadra Environment Company for Industrials Waste Management ("Khadra")	Limited liability	**100.00**	100.00
National Industrialization Petrochemical Marketing Company ("NIPMC") and its subsidiary	Limited liability	**100.00**	100.00
National Petrochemical Industrialization Company	Limited liability	**100.00**	100.00
National Worldwide Industrial Advancement Company Ltd.	Limited liability	**100.00**	100.00
NIPRAS National Technical Company Ltd.	Limited liability	**100.00**	100.00
National Gulf Company for Petrochemical Technology	Limited liability	**100.00**	100.00
National Industrialization Company for Industrial Investments	Limited liability	**100.00**	100.00
National Operation and Industrial Services Company ("Khadamat") - under liquidation	Limited liability	**100.00**	100.00
National Inspection and Technical Testing Company Ltd. ("Fahss")	Limited liability	**100.00**	100.00
Fahss W.L.L. (formerly: TUV - Middle East WLL) ("TUV")	Limited liability	**100.00**	100.00
Advanced Metal Industries Cluster Company Ltd. ("AMIC") and its subsidiary	Limited liability	**89.50**	89.50
The National Titanium Dioxide Company Ltd. ("Cristal") and its subsidiary	Limited liability	**79.00**	79.00
Tasnee and Sahara Olefins Company and its subsidiaries	Closed joint stock	**60.45**	60.45

1. STATUS AND NATURE OF ACTIVITIES (continued)

1.1 Subsidiaries (continued)

a) Al Rowad Industrial Transformation Company ("RITC")

During 2024, the Group has incorporated RITC as a 100% owned subsidiary. RITC is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. During 2025, as part of corporate reorganization ownership of the following 100% owned subsidiaries of the Group transferred to RITC:

Rowad National Plastic Company (''RNP'') is a Saudi Limited Liability Company with its head office based in Riyadh, Saudi Arabia. RNP is engaged in the manufacturing of all types of plastic production and managing and operating the industrial plants.

Rowad Global Packing Company Ltd., (''RGP'') is a Saudi Limited Liability Company registered in Dammam, Saudi Arabia.

Rowad United Marketing Company (''RUM'') is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. RUMC is engaged in the marketing services of plastic products.

Rowad International Geosynthetics Company Limited ("RIG) is a Saudi Limited Liability Company registered in Dammam, Saudi Arabia. RIG is engaged in manufacturing, production and installation of various geosynthetics products.

Taldeen Plastic Solutions Company Ltd. ("Taldeen") is a Saudi Limited Liability Company based in Hail, Saudi Arabia. Taldeen has four plants and is engaged in producing plastic pallets, plastic pipes, agri-film and waste-water treatment units.

During the year, RITC and its subsidiaries ("RITC Group") have been classified as held for sale. For details refer note 46.

b) Green Future Industrial Company ("GFIC")

During 2024, the Group has incorporated a GFIC as 100% owned subsidiary. GFIC is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. During 2025, as part of corporate reorganization ownership of the following 100% owned subsidiaries of the Group transferred to GFIC:

National Lead Smelting Company Ltd. ("Rassas") is a Saudi Limited Liability Company with its head office based in Riyadh, Saudi Arabia. Rassas is engaged in the manufacturing of lead as well as polypropylene and sodium sulphate.

National Marketing and Industrial Services Company ("Khadamat II") is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. Khadamat II is engaged in marketing, sale and distribution of industrial products, including car batteries, plastic sheets, imports and exports, trading agencies for industrial products and investment in industrial services fields.

National Batteries Company ("Battariat"), a Saudi Limited Liability Company, registered in Riyadh, Saudi Arabia.

Al Khadra Environment Company for Industrials Waste Management ("Khadra") is a Saudi Limited Liability Company based in Jeddah, Saudi Arabia. Khadra is engaged in sale, gathering and recycling of used and damaged batteries, lead, plastics, industrial materials and environmental waste.

c) National Industrialization Petrochemical Marketing Company and its subsidiary ("NIPMC")

National Industrialization Petrochemical Marketing Company is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. NIPMC is engaged in the marketing services of chemical, petrochemical and plastic items including polypropylene and polyethylene.

NIPMC owns 100% of Tasnee Marketing International Company ("TMIC"), a limited liability company. TMIC is primarily engaged in marketing of polymer products and is registered in Riyadh, Saudi Arabia.

d) Other Subsidiaries

These are direct subsidiaries and are incorporated in the Kingdom of Saudi Arabia. These subsidiaries are mainly holding companies for the Group's investments. Technical Tetravalent Lead Smelting Company Limited ("TTLSP"), a Saudi Limited Liability Company, which is registered in Jeddah, Saudi Arabia.

1. STATUS AND NATURE OF ACTIVITIES (continued)

1.1 Subsidiaries (continued)

e) National Operation and Industrial Services Company ("Khadamat") - under liquidation

National Operating and Industrial Services Company is a Saudi Limited Liability Company based in Riyadh, Saudi Arabia. Khadamat is engaged in marketing, sale and distribution of industrial products, including car batteries, plastic sheets, imports and exports, trading agencies for industrial products and investment in industrial services fields. Khadamat is currently under liquidation and the procedures for liquidation are ongoing as at the date of these consolidated financial statements.

f) National Inspection and Technical Testing Company Ltd. ("Fahss")

National Inspection and Technical Testing Company Ltd. is a Saudi Limited Liability Company based in Dammam, Saudi Arabia. Fahss is engaged in providing technical services in inspection, testing, calibration, maintenance and quality management and environment systems (ISO).

During the year ended 31 December 2024, the Group acquired 25.1% shares from a minority shareholder for a price of SR 7.9 million and now owns 100% ownership in Fahss. The transaction was accounted for as an equity transaction and resulting loss was recognized in other reserves under equity.

g) FAHSS W.L.L (formerly: TUV – Middle East WLL) ("FAHSS WLL")

FAHSS W.L.L is a Limited Liability Company incorporated in Kingdom of Bahrain. FAHSS WLL is engaged in inspection of mechanical equipment and industrial instruments, quality management and environment systems (ISO), academic trainings, information technology consultancy and laboratory testing services for various products within GCC countries. FAHSS WLL owns 100% beneficial ownership of a subsidiary, German Safety and Quality Inspection Company LLC, a limited liability company, which is registered in Doha, Qatar.

During the year ended 31 December 2024, the Group acquired 25.1% shares from a minority shareholder for a price of nil and now owns 100% ownership in FAHSS WLL. The transaction was accounted for as an equity transaction and resulting loss was recognized in other reserves under equity.

h) Advanced Metal Industries Cluster Company Ltd. ("AMIC")

Advanced Metal Industries Cluster Company Ltd. ("AMIC") was established with direct ownership percentage of 50% each by Tasnee and Cristal. AMIC is a Saudi Limited Liability Company and registered in Jeddah, Saudi Arabia. AMIC is engaged in setting up industrial projects related to Titanium metals of various type and other related substances including Titanium and Iron ores.

AMIC owns 100% equity interest in Advanced Smelting Industries Company Limited ('ASIC'), a Saudi Limited Liability Company, registered in Jazan, Saudi Arabia. AMIC also owns 65% equity interest in Advanced Metal Industries Cluster and Toho Titanium Metal Company Limited ("ATTM") – a joint venture with Toho Titanium Company Limited. ATTM is a Mixed Limited Liability Company with its head office based in Jeddah, Saudi Arabia.

i) The National Titanium Dioxide Limited Company ("Cristal")

The National Titanium Dioxide Limited Company is a Saudi Limited Liability Company with its head office based in Jeddah, Saudi Arabia. Cristal owns 100% equity interest in Cristal International Holdings B.V., a limited liability company registered in The Netherlands.

j) Tasnee and Sahara Olefins Company ("TSOC")

Tasnee and Sahara Olefins Company is a Saudi Closed Joint Stock Company with its head office based in Riyadh, Saudi Arabia. The main objectives of TSOC are the production and marketing of petrochemical and chemical materials. TSOC owns 65% of Saudi Acrylic Acid Company ("SAAC"), a Saudi Limited Liability Company, which is registered in Riyadh, Saudi Arabia. SAAC is primarily engaged in supplying the requirements of the raw materials and utilities, and retail and wholesale of Acrylic Acid and its related products. SAAC owns 100% of Saudi Acrylics Polymers Company ("SAPCO"), a Saudi Limited Liability Company registered in Jubail, Saudi Arabia. SAPCO is engaged in producing Super Absorbent Polymer.

During the year ended 31 December 2024, SAAC acquired the remaining 25% equity interest in its joint venture, SAMCO, a limited liability company, resulting in SAMCO becoming a 100% owned subsidiary of SAAC. The main objectives of SAMCO are producing Crude Acrylic Acid, Glacial Acrylic Acid, Butyl Acrylate and Ethylhexyl Acrylate and has its head office and principal place of business in Jubail, Saudi Arabia. Also refer note 45.

1. STATUS AND NATURE OF ACTIVITIES (continued)

1.2 Associates and Joint Arrangements

The following is the list of the Group's associated companies and joint arrangements included in these consolidated financial statements with effective ownership percentages:

Company Name	Relationship	Legal Form	***Effective shareholding (%)*** 2025	2024
Saudi Polyolefins Company ("SPC")	Joint Venture	Limited liability	**75.00**	75.00
Advanced Metal Industries Cluster and Toho Titanium Metal Company Limited ("ATTM")	Joint Venture	Limited liability	**58.18**	58.18
Saudi Ethylene and Polyethylene Company ("SEPC")	Joint Venture	Limited liability	**45.34**	45.34
Avient Middle East Industries Company – (note 12.1.2)	Associate	Limited liability	**27.50**	27.50
National Metal Manufacturing and Casting Company ("Maadaniyah")	Associate	Saudi joint stock company	**34.93**	34.93
Tronox Holdings plc ("Tronox") (note 12.3)	Associate	Listed in NYSE	**18.72**	18.79
Saudi Butanol Company ("SABUCO")	Joint Operations	Limited liability	**17.43**	17.43

(a) Saudi Butanol Company ("SABUCO")

Saudi Butanol Company is a mixed limited liability company registered in Jubail city, Kingdom of Saudi Arabia under commercial registration number 2055019713 dated 17 Rajab 1434H (corresponding to 27 May 2013). The Company's objective is to produce normal butanol and iso butanol. SABUCO is 33.33% owned by Saudi Acrylic Acid Company ("SAAC") (a Saudi limited liability company), 33.33% by Sadara Chemical Company (a Saudi limited liability company) and 33.33% by Saudi Kayan Petrochemical Company (a Saudi joint stock company).

2. BASIS OF PREPARATION

(i) Statement of Compliance

These consolidated financial statements are prepared in accordance with International Financial Reporting Standards ("IFRS"), as endorsed in Kingdom of Saudi Arabia and other standards and pronouncements issued by Saudi Organization for Chartered and Professional Accountants (SOCPA).

(ii) Basis of measurement

The financial statements have been prepared on a historical cost basis, except for certain financial assets and liabilities (including derivative instruments) - measured at fair value; and the employee benefits obligations which are recognized at the present value of future obligations using the Projected Unit Credit Method.

(iii) Functional and presentation currency

These consolidated financial statements are presented in Saudi Riyals ("SR"), which is the Parent's functional currency. All amounts have been rounded to the nearest thousand (SR in '000), unless otherwise indicated.

(iv) Going concern basis of accounting

These financial statements have been prepared on going concern basis. As at 31 December 2025, the Group's current liabilities exceeded its current assets by SR 1,196.6 million as the current liabilities included current portion of long term borrowings of SR 2,374 million. However, as disclosed in note 25.2, the Group has received a term sheet from commercial bank to refinance borrowings amounting to SR 2,000 million. The proposed refinancing is expected to extend the repayment period by 7 years beyond the original maturity date in November 2026. The Group is currently finalizing the terms sheet with the lender. Management believes that the current liquidity position is temporary and anticipates that the Group will have sufficient operational cash flows and necessary financing arrangements will be obtained to meet obligations as they fall due for a period of at least 12 months from the balance sheet date. Accordingly, these consolidated financial statements have been prepared on a going concern basis.

3. BASIS OF CONSOLIDATION

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries except for joint operations which are consolidated based on the Group's relative share in the arrangement.

Subsidiaries are all entities over which the Group has control. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee).
- Exposure, or rights, to variable returns from its involvement with the investee.
- The ability to use its power over the investee to affect its returns.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary.

Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent and to the non-controlling interests "NCI", even if this results in the NCI having a deficit balance.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. When Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognized in the profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the carrying amount of any non-controlling interest.
- Derecognizes the cumulative translation differences recorded in equity.
- Recognizes the fair value of the consideration received.
- Recognizes the fair value of any investment retained.
- Recognizes any surplus or deficit in profit or loss.
- Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

4. CHANGES IN ACCOUNTING POLICIES

The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2024 except for the adoption of following amendments to existing standards that had no significant financial impact on these consolidated financial statements of the Group:

Amendments to IAS 21 - Lack of Exchangeability

These amendments add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose.

5. MATERIAL ACCOUNTING POLICIES

The material accounting policies adopted by the Group in preparing these consolidated financial statements are applied consistently and are described below:

5.1. Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of fair value of the consideration transferred, which is measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in general and administrative expenses.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date through profit or loss.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. All contingent consideration (except that which is classified as equity) is measured at fair value with the changes in fair value in profit or loss. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held, over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, then the gain on bargain purchase is recognized in profit or loss.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.1. Business combinations and goodwill (continued)

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports in its consolidated financial statements provisional amounts for the items for which the accounting is incomplete. During the measurement period, which generally does not exceed one year from the date of acquisition, the Group retrospectively adjusts the provisional amounts recognized at the acquisition date to reflect new information obtained about facts and circumstances that existed as at the acquisition date and, if known, would have affected the measurement of the amounts recognized as at that date. Any additional assets or liabilities are also recognized during the measurement period if new information is obtained about facts and circumstances that existed as at the acquisition date.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units (CGU) that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units. CGU is the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups thereof. A CGU is identified consistently from period to period for the same asset or types of assets, unless a change is justified.

Where goodwill has been allocated to a CGU and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash generating unit retained.

5.2. Investments in associates, joint arrangements and equity accounting

(i) Associates

Associates are all entities over which the Group has significant influence but no control or joint control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control over those policies. This is generally the case where the Group holds between 20% and 50% of the voting rights. The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. Investments in associates are accounted for using the equity method, after initially being recognized at cost.

(ii) Joint arrangements

Under IFRS 11 Joint Arrangements, joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. The considerations made in determining whether joint control exists or not are similar to those necessary to determine control over subsidiaries. Also refer to note 6.2.

Investments in joint arrangements are classified as either joint ventures or joint operations. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement. The Group has both joint ventures and joint operations. (Refer note 1.2 for the details)

Joint ventures:

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture.

Interests in joint ventures are accounted for using the equity method, after initially being recognized at cost in the consolidated statement of financial position.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.2. Investments in associates, joint arrangements and equity accounting (continued)

(ii) Joint arrangements (continued)

Joint operations:

A joint operation is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and liabilities of the joint operation.

The Group recognizes its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues and expenses. These have been incorporated in the consolidated financial statements under the appropriate headings.

(iii) Equity method

Under the equity method of accounting, the investments are initially recognized at cost. Appropriate adjustments are made in order to account for the Group's share in the fair value of associate's or joint venture's net assets at the date of the acquisition. Excess of the Group's share in the fair value of associate's net assets over the cost is recognized in the consolidated statement of profit or loss. The net carrying amount of the investment is subsequently adjusted to recognize changes in the Group's share of net assets of the associate or joint venture since the acquisition date. Adjustments are made to account for the Group's share of the associate's or joint venture's profit or loss after acquisition in order to account, for example, for depreciation of the depreciable assets based on their fair values at the acquisition date. Similarly, appropriate adjustments to the Group's share of the associate's or joint venture's profit or loss after acquisition are made for impairment losses such as for goodwill or property, plant and equipment.

Adjustments are made to recognize the Group's share of the post-acquisition profits or losses of the investee in profit or loss, and the Group's share of other comprehensive income of the investee in other comprehensive income. Long term loans, which are not expected to be settled in the foreseeable future, are in substance considered as part of net investment. Where the carrying value of the investment is reduced to zero, a liability is recognized only to the extent that there is an obligation to fund the investee's operations, or any payments have been made on behalf of the investee. Dividends received or receivable from associates and joint ventures are recognized as a reduction in the carrying amount of the investment. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and is not tested for impairment separately.

The consolidated statement of profit or loss reflects the Group's share of the results of operations of the associate or joint venture. Any change in the other comprehensive income ("OCI") of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognized directly in the equity of the associate or joint venture, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associate and joint venture are eliminated to the extent of the interest in the associate or joint venture. The financial statements of the associate or joint venture are prepared for the same reporting period as the Group.

When necessary, adjustments are made to bring the accounting policies of the associate or joint venture in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate or joint venture. The Group determines at each reporting date whether there is any objective evidence that the investment in the associate or joint venture is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and it's carrying value and recognizes the loss separately in the consolidated statement of profit or loss.

The Group assess at the end of each reporting period whether there is any indication that an impairment loss recognized in prior periods on its investment in its associate or joint venture may no longer exist or may have decreased. If any such indication exists, the Group estimates the recoverable amount of its investments. The reversal is limited so that the carrying amount of the investment does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, had no impairment loss been recognized for the investment in prior years. Such reversal is also recognized separately within the consolidated statement of profit or loss.

Upon loss of significant influence over the associate or joint control over the joint venture, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate or joint venture upon loss of significant influence or joint control and the fair value of the retaining investment and proceeds from disposal is recognized in profit or loss.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.3. Revenue recognition

The Group manufactures and sells a wide range of products including chemicals, polymers and plastics. Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties such as taxes.

Revenue is recognized when obligations under the terms of a contract with our customer are satisfied. This occurs at the time when performance obligations are fulfilled and control transfers to the customer, which generally happens when products are delivered to the customer. Also, depending on the shipping terms this control could transfer at the shipping port or later at the customer's destination point. The Group recognizes a trade receivable at the point in time at which the right to consideration becomes unconditional, as only the passage of time is required before payment is due. A contract liability is recognized if a payment is received from a customer before the Group transfers the related goods or services. Contract liabilities are recognized as revenue when the Group transfers control of the related goods or services to the customer.

Some of the joint venture companies market their products through subsidiaries of the Group (referred hereto as "the Marketers"). For all such arrangements, the Group reviews whether it acts as a principal or agent. Based on this review, the Group when acts as principal, record sale on gross basis, while net accounting is followed where it acts as an agent.

Some of the subsidiaries provide services related to inspection of electrical, mechanical and industrial equipment, ISO Certification, academic training, information technology consultancy and laboratory testing. Contract service revenues are recognized based on the value of work rendered to the customer in accordance with the terms and rates as specified in the service contracts. Revenue from providing services is recognized in the accounting period in which the services are rendered.

5.4. Cost of revenue, selling, distribution and general and administrative expenses

Operating costs are recognized on a historical cost basis. Production costs which include consumption of inventory, direct labor and attributable overhead costs are classified as cost of revenue.

Selling and distribution expenses principally comprise costs incurred in marketing and sale of the subsidiaries' products. Other expenses are classified as general and administrative expenses.

General and administrative expenses include direct and indirect costs not specifically attributable to cost of revenue.

Allocations between general and administrative expenses and cost of revenue, when required, are made on a consistent basis.

5.5. Foreign currency translation

Items included in the financial statements of each of the group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Saudi Riyal ('SR'), which is Group functional and presentation currency.

(i) Transactions and balances

Transactions in foreign currencies are initially recorded by the Group entities at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date. Differences arising on settlement or translation of monetary items are recognized in profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transaction.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.5. Foreign currency translation (continued)

(ii) Group companies

On consolidation, the assets and liabilities of foreign operations are translated into Saudi Riyals at the rate of exchange prevailing at the reporting date and their statement of profit or loss are translated at exchange rate prevailing at the date of the transactions or the average rate for the period. All resulting exchange differences arising on the translation are recognized in consolidated statement of comprehensive income. On disposal of a foreign operation, the component of OCI relating to that particular foreign operation is reclassified to the consolidated statement of profit or loss.

5.6. Zakat, income and deferred taxes

(i) Zakat

Zakat is provided on an accruals basis and computed at the higher of adjusted net income for zakat purposes for the year or zakat base calculated per Zakat, Tax and Customs Authority ("ZATCA") regulations. Any difference in the previously recorded estimate is recognized when the final assessment is approved by ZATCA.

(ii) Current income tax

Foreign shareholders in the Group's subsidiaries in the Kingdom of Saudi Arabia are subject to income tax. Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income.

(iii) Deferred taxes

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Un-recognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.7. Property, plant and equipment and projects under progress

(a) Property, plant and equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and impairment in value, except for land which is stated at cost and are not depreciated.

Cost includes all expenditure directly attributable to the construction or purchase of the item of property, plant and equipment. Such costs include the cost of replacing parts of the property, plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of property, plant and equipment are required to be replaced at intervals, the Group recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, costs of major maintenance and repairs incurred as part of substantial overhauls or turnarounds of major units at the Group's manufacturing facilities are capitalized and generally depreciated using the straight-line method over the period until the next planned turnaround, the cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the consolidated statement of profit or loss as incurred. Any subsequent expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure will flow to the Group and cost can be measured reliably.

Depreciation is calculated using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives as follows;

Asset class	**Useful lives (in years)**
Buildings	20 – 33
Leasehold improvements	Shorter of the lease term or useful life
Plant, machinery and equipment	3 – 30
Tools and capital spares	2 – 20
Furniture, fixtures and equipment	3 – 10
Motor vehicles	4 – 5
Computers	3 – 5
Catalysts	2 – 5

Stores and spares having a useful life of more than one year are depreciated over their estimated useful lives.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of profit or loss when the asset is derecognized.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year-end and adjusted prospectively, if appropriate.

(b) Projects under progress

Projects under progress represent eligible costs for capitalization relating directly to the new projects and other capital work in progress including cost of expansion of existing facilities. These are capitalized as property, plant and equipment and / or intangible assets when the project is completed, or the related assets is ready for its intended use. Projects under progress are stated at cost less accumulated impairment, if any.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.8. Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

5.9. Leases

The Group assesses whether a contract contains a lease, at inception of the contract. For all such lease arrangements, the Group recognize right of use assets and lease liabilities except for the short-term leases and leases of low value assets as follows:

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. Right-of-use assets are subject to impairment.

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group has the option, under some of its leases to lease the assets for additional renewable periods. The group applies judgment in evaluating whether it is reasonably certain to exercise the option to renew. That is, it considers all relevant factors that create an economic incentive for it to exercise the renewal. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise (or not to exercise) the option to renew (e.g., a change in business strategy).

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The discount rate used is the entity's incremental borrowing rate, being the rate that the entity would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is re-measured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of machinery and equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.10. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is recognized in the consolidated statement of profit or loss when it is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the consolidated statement of profit or loss in the expense category consistent with the function of the intangible assets.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the consolidated statement of profit or loss when the asset is derecognized.

(i) Goodwill

Goodwill on acquisition of subsidiaries is included in intangible assets. Goodwill is not amortized but is tested for impairment annually or more frequently if events or changes in circumstances indicate that it might be impaired and is carried at cost less accumulated impairment losses. Gains and losses on disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to cash generating units or group of cash generating units for the purpose of impairment testing. The allocation is made to those cash generating units or groups of cash generating units that are expected to benefit from the business combination in which the goodwill arose. The units or groups of units are identified at the lowest level at which goodwill is monitored for internal management purposes.

(ii) Technological and software licenses

Acquisition cost of technological licenses and computer software licenses and implementation costs are amortized using the straight-line method over 5-25 years from the date of commencement of operation.

An intangible asset with an indefinite life is not being amortized but instead is measured for impairment at least annually, or when events indicate that impairment exists.

Research and development costs are charged to the consolidated statement of profit or loss during the period incurred, except for the clear and specified projects, in which development costs can be recovered through the commercial activities generated by these projects. In this case, the development costs are considered intangible assets and are amortized using the straight-line method over a period of seven to fifteen years.

(iii) Customer relationships

Customer relationships acquired in a business combination are recognized at fair value at the acquisition date. They have a finite useful life of 10 years and are subsequently carried at cost less accumulated amortization and impairment losses, where applicable.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.11. Impairment of non-financial assets

Goodwill and assets with indefinite life are tested for impairment annually.

For other assets, the Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of the asset's or cash generating units ("CGU") fair value less costs of disposal and its value in use ("VIU"). It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Impairment calculation is based on detailed forecasts which are prepared separately for each of the Group's CGU to which the individual assets are allocated. These forecast calculations generally cover a period of five years. Long-term growth rate is calculated and applied to project future cash flows after the fifth year.

The Group assess at the end of each reporting period whether there is any indication that an impairment loss recognized in prior periods for an asset other than goodwill may no longer exist or may have decreased. If any such indication exists, the entity shall estimate the recoverable amount of that asset. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statement of profit or loss.

Impairment recognized previously on goodwill is not reversed.

5.12. Inventories

The cost of raw materials, consumables, spare parts and finished goods is determined on a weighted average cost basis. The cost of work in progress and finished goods includes cost of material, labor and an appropriate allocation of indirect overheads. Inventories are valued at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs to sell.

5.13. Cash and cash equivalents

Cash and cash equivalents in the consolidated statement of financial position comprise cash at banks and on hand and short-term deposits and murabaha with a maturity of three months or less, which are subject to an insignificant risk of changes in value.

5.14. Employee benefits obligations

(i) Short-term obligations

Liabilities for wages and salaries and any other short-term benefits that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service are recognized in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the consolidated statement of financial position.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.14. Employee benefits obligations (continued)

(ii) Post-employment obligations

Defined contribution plan

A defined contribution plan is employee benefit plan under which the Group pays fixed contributions. The Group offers a saving plan to eligible employees to encourage them to make savings in a manner that will warrant an increase in their income and contribute to securing their future according to the established plan. The saving contributions from the participants are deposited in a separate bank account other than the Group's normal operating bank accounts (but not in any separate legal entity).

Defined benefit plans

The Group primarily has end of service benefits which qualify as defined benefit (unfunded) plan.

The cost of providing benefits under the defined benefit plans is determined using the projected unit credit method, with actuarial valuation being carried out at regular interval. Re-measurements, comprising actuarial gains and losses, are recognized immediately in the consolidated statement of financial position with a corresponding debit or credit to other reserves through other comprehensive income in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

The present value of the defined benefit obligation for the Group has been determined by discounting the estimated future cash outflows by reference to Saudi Government bond yields.

Past service costs are recognized in the consolidated statement of profit or loss on the earlier of the date of the plan amendment or curtailment and the date on which the Group recognizes related restructuring costs. Net interest is calculated by applying the discount rate to the net defined benefit liability. The Group recognizes the changes in the net defined benefit obligation under 'cost of revenue, 'general and administrative expenses' and 'selling and distribution expenses' in the consolidated statement of profit or loss.

(iii) Employees House Ownership Program (HOP) and Employees Housing Loans (HLP)

Certain companies within the Group have established employees HOP where eligible employees after paying a series of payments over a particular number of years can purchase houses constructed by these companies. Costs which are not directly related to residential units are absorbed by the Group. Ownership of these houses is transferred to the employees at the completion of full payment. Under the program, the amounts paid by the employees towards the houses are repayable back to the employees after certain adjustments in case of discontinued employment and the house is returned to the Group. HOP is recognized as a non-current Home loan receivable together with a prepayment asset at time the residential units are allocated and handed over to the employees. The prepayment asset is amortized over the repayment period of the facility due from employees. The Home loan receivable is settled over the repayment period through deductions from the employees' salary. The house is derecognized at the point it is allocated to an employee, and the employee takes up residence.

The Group also provides interest free home loan to its eligible employees for purposes related to purchase or building of a house or apartment. The loan is repaid in monthly instalment by deduction of employee's pay. HLP is recognized as a non-current financial asset at fair value and measured at amortized cost using the effective interest rate (EIR) method. The difference between the fair value and the actual amount of cash given to the employee is recognized as a 'prepaid employee benefit' and is amortized as an expense equally over the period of service. The same amount is also amortized as finance income against the receivable from employees.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.15. Provisions and contingent liabilities

(i) Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the consolidated statement of profit or loss net of any reimbursement.

(ii) Contingent liabilities

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made.

5.16. Accounts receivables

Trade receivables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method less impairment. For impairment of financial assets, (refer to note 5.20 (iv)).

5.17. Accounts payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of financial period, which are unpaid. The amounts are unsecured. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

5.18. Financial guarantees

Financial guarantee contracts are recognized as a financial liability at the time the guarantee is issued. The liability is initially measured at fair value adjusted for transaction costs that are directly attributable to the issuance of guarantee, and subsequently at the higher of the amount determined in accordance with the expected credit loss model under IFRS 9 Financial Instruments, and the amount initially recognized less, where appropriate, the cumulative amount of income recognized in accordance with the principles of IFRS 15 Revenue from Contracts with Customers. The fair value of financial guarantees is determined based on the present value of the difference in cash flows between the contractual payments required under the debt instrument and the payments that would be required without the guarantee, or the estimated amount that would be payable to a third party for assuming the obligations. Where guarantees in relation to loans or other payables of associates or joint ventures are provided for no compensation, the fair values are accounted for as contributions and recognized as part of the cost of the investment.

5.19. Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.20. Financial instruments

Financial instruments are recognized when the Group becomes a party to the contractual provisions of the instrument. A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

The Group determines the classification of its financial assets at initial recognition. Regular way purchases and sales of financial assets are recognized on trade date, being the date on which the Group commits to purchase or sell the asset. The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

i. Classification

The financial assets are classified in the following measurement categories:

a) Those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss); and
b) Those to be measured at amortized cost.

For assets measured at fair value, gains and losses will either be recorded in the consolidated statement of profit or loss or the consolidated statement of other comprehensive income. For investments in equity instruments, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income.

ii. Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in the consolidated statement of profit or loss as incurred.

Debt instruments
Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies debt instruments at amortized cost based on the below:

a) The asset is held within a business model with the objective of collecting the contractual cash flows; and
b) The contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. Employees' loans and shareholders' loans to joint venture entities are carried at amortized cost.

Equity instruments

Equity securities which are not held for trading, and which the group has irrevocably elected at initial recognition to recognize in the category of fair value through other comprehensive income ("FVOCI"). For strategic investments the Group considers this classification to be more relevant.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.20. Financial instruments (continued)

ii. Measurement (continued)

Equity instruments (continued)

If the Group elects to present fair value gains and losses on equity investments in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss. Dividends from such investments shall continue to be recognized in the consolidated statement of profit or loss as other income when the Groups' right to receive payments is established. There are no impairment requirements for equity investments measured at fair value through other comprehensive income. Changes in the fair value of financial assets at fair value through profit or loss shall be recognized in other income / (expenses) in the consolidated statement of profit or loss as applicable.

iii. De-recognition of financial assets

The Group derecognizes a financial asset when the contractual rights to the cash flows from the assets expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognizes its retained interests in the asset and associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of the transferred financial asset, the Group continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

iv. Impairment of financial assets

The Group assesses on a forward-looking basis the Expected Credit Losses ("ECL") associated with its debt instruments as part of its financial assets, carried at amortized cost.

For accounts receivables, the Group applies the simplified approach, which requires expected lifetime losses to be recognized from initial recognition of the receivables. To measure the expected credit losses, receivables are grouped based on shared credit risk characteristics and the days past due. Expected loss rates are derived from historical information of the Group and are adjusted to reflect the expected future outcome which also incorporates forward looking information for macroeconomic factors.

The financial assets, other than trade receivables, of the Group are categorized as follows:

(a) Performing (Stage 1): these represent the financial assets where customers have a low risk of default and a strong capacity to meet contractual cash flows. Less than 30 days past due balances do not result in significant increase in credit risk and are considered as performing.

(b) Underperforming (Stage 2): these represent the financial assets where there is a significant increase in credit risk and that is presumed if the customer is more than 30 days but less than 90 days past due in making a contractual payment.

(c) Non-performing (Stage 3): these represent defaulted financial assets. A default on a financial asset is considered when the customer fails to make a contractual payment within 90 days after they fall due.

The Company measures the loss allowance for performing financial assets at an amount equal to 12-month expected credit losses. Where the expected lifetime of an asset is less than 12 months, expected losses are measured at its expected lifetime. 12-month expected credit losses are the portion of expected credit losses that results from default events on the financial assets that are possible within 12 months after the reporting date. The Group measures the loss allowance for underperforming and non-performing financial assets at an amount equal to lifetime expected credit losses. If the Group has reasonable and supporting information to demonstrate that the counterparty is not impaired but has crossed days past due (DPD) of 90+, then the Group applies stage-2 for ECL estimation. Similarly, where the counterparty balance does not go beyond DPD of 90+, but the Group has reasonable and supporting information to demonstrate that counterparty will face significant financial difficulty, the Group applies stage-3 for ECL estimation.

Financial assets are written off when there is no reasonable expectation of recovery, such as a debtor failing to engage in a repayment plan with the counterparty. The Group categorizes a financial asset for write off when a debtor fails to make contractual payments and no reasonable expectation of recovering the contractual cash flows. Where a financial asset has been written off, the Group continues to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognized in consolidated statement of profit or loss.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.20. Financial instruments (continued)

v. Income recognition

Murabaha income

For all financial instruments measured at amortized cost and interest-bearing financial assets, Murabaha income is recognized using the effective interest rate (EIR), which is the rate that discounts the estimated future cash financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

When a loan and receivable is impaired, the Group reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original EIR of the instrument and continues unwinding the discount as interest income. Interest income on impaired financial asset is recognized using the original EIR.

Dividend income

Dividends receivable from financial instruments are recognized in the consolidated statement of profit or loss only when the right to receive payment is established, it is probable that the economic benefits associated with the dividend will flow to the Group, and the amount of the dividend can be measured reliably.

Financial liabilities

The Group determines the classification of its financial liabilities at initial recognition.

i. Classification

The financial liabilities are classified in the following measurement categories:

a) Those to be measured as financial liabilities at fair value through profit or loss; and
b) Those to be measured at amortized cost.

ii. Measurement

All financial liabilities are recognized initially at fair value. Financial liabilities accounted at amortized cost like borrowings are accounted at the fair value determined based on the effective interest rate method (EIR) after considering the directly attributable transaction costs.

The Group classifies all financial liabilities as subsequently measured at amortized cost, except for financial liabilities at fair value through profit or loss. Such liabilities, including derivatives that are liabilities, shall be subsequently measured at fair value.

EIR method calculates the amortized cost of a debt instrument by allocating interest charge over the relevant effective interest rate period. The effective interest rate is the rate that exactly discounts estimated future cash outflow (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. This category generally applies to borrowings, trade payables, etc.

The Group's financial liabilities include trade and other payables, borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments. The Group measures financial liabilities (except derivatives) at amortized cost.

iii. Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statement of profit or loss.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.21. Derivative financial instruments and hedge accounting

The Group's activities expose it to the financial risks of changes in foreign exchange rates and interest rates. Derivatives are used for economic hedge purposes and not as speculative investments.

Derivative financial instruments are initially measured at fair value on the contract date and are subsequently re-measured to fair value at each reporting date. The accounting for subsequent changes in fair value depends on whether the derivative is designated as a hedging instrument, and if so, the nature of the item being hedged and the type of hedge relationship designated.

The Group's activities expose it to the financial risks of changes in foreign exchange rates and interest rates. The Group documents at the inception of the hedging transaction the economic relationship between hedging instruments and hedged items including whether the hedging instrument is expected to offset changes in cash flows of hedged items. The Group documents its risk management objective and strategy for undertaking various hedge transactions at the inception of each hedge relationship.

The full fair value of a hedging derivative is classified as a non-current asset or liability when the remaining maturity of the hedged item is more than 12 months; and classified as a current asset or liability when the remaining maturity of the hedged item is less than 12 months.

(i) Derivatives that are not designated as hedges

The Group enters into certain derivative contracts to hedge risks which are not designated as hedges. Such contracts are accounted for at fair value through profit or loss, within other income / (losses).

(ii) Derivatives that are designated as cash flow hedges

The effective portion of changes in the fair value of derivatives such as forward contracts and interest rate swaps that are designated and qualify as cash flow hedges is recognized in the other comprehensive income in cash flow hedging reserve within equity, limited to the cumulative change in fair value of the hedged item on a present value basis from the inception of the hedge. The gain or loss relating to the ineffective portion is recognized immediately in profit or loss, within other income / (losses).

Amounts accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss.

When a hedging instrument expires, or is sold or terminated, or when a hedge no longer meets the criteria for hedge accounting, any cumulative deferred gain or loss and deferred costs of hedging in equity at that time remains in equity until the forecast transaction occurs. When the forecast transaction is no longer expected to occur, the cumulative gain or loss and deferred costs of hedging that were reported in equity are immediately reclassified to profit or loss, within other income / (losses).

If the hedge ratio for risk management purposes is no longer optimal but the risk management objective remains unchanged and the hedge continues to qualify for hedge accounting, the hedge relationship will be rebalanced by adjusting either the volume of the hedging instrument or the volume of the hedged item so that the hedge ratio aligns with the ratio used for risk management purposes. Any hedge ineffectiveness is calculated and accounted for in profit or loss at the time of the hedge relationship rebalancing.

5.22. Current versus non-current classification

The Group presents assets and liabilities in the consolidated statement of financial position based on current / non-current classification. An asset is current when it is:

- expected to be realised or intended to be sold or consumed in the normal operating cycle
- held primarily for the purpose of trading
- expected to be realised within twelve months after the reporting period.

All other assets are classified as non-current.

5. MATERIAL ACCOUNTING POLICIES (continued)

5.22. Current versus non-current classification (continued)

A liability is current when it is:

- expected to be settled in the normal operating cycle
- held primarily for the purpose of trading
- due to be settled within twelve months after the reporting period
- the Group does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification. The Group classifies all other liabilities as non-current.

5.23. Statutory reserve

In accordance with the Company's By-laws, the Company transfers 10% of the annual net income to the statutory reserve until it reaches 10% of the share capital.

5.24. Non-current assets held for sale and discontinued operations

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group).

The criteria for held for sale classification is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification.

Property, plant and equipment and intangible assets are not depreciated or amortized once classified as held for sale. Assets and liabilities classified as held for sale are presented separately as current items in the consolidated statement of financial position.

A disposal group qualifies as discontinued operation if it is a component of an entity that either has been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations
- is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after zakat and income tax from discontinued operations in the consolidated statement of profit or loss. Additional disclosures are provided in note 46. All other notes to the consolidated financial statements include amounts for continuing operations, unless indicated otherwise.

6. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of consolidated financial statements requires the Group's management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying accounting disclosures, and the disclosures of contingent liabilities at the reporting date of the consolidated financial statements.

Estimates and assumptions are continually evaluated and are based on management's historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

6.1 The areas requiring the most significant estimates and assumptions in the preparation of the consolidated financial statements are explained below:

(i) Impairment testing of goodwill

The Group's management tests, on an annual basis, whether goodwill arising on acquisition has suffered any impairment. This requires an estimation of the recoverable amounts of the CGUs or group of CGUs to which goodwill has been allocated. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used in computation of terminal value. The key assumptions used in determining the recoverable amounts are set out in note 9 and note 12. Also refer note 45.

(ii) Recoverability of non- financial asset's carrying value

For the purposes of determining whether impairment of assets has occurred, and the extent of any impairment or its reversal, a recoverable amount is calculated. Recoverable amount is the higher of fair value less costs of disposal ("FVLCD") or value-in-use ("VIU"). In assessing VIU, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which estimates of future cash flows have not been adjusted.

The key assumptions management uses in estimating future cash flows for its VIU calculations are growth in earnings before interest, tax, depreciation and amortization (EBITDA), timing and quantum of future capital expenditure, long term growth rate, selection of discount rates to reflect the risks involved. There is an inherent uncertainty over forecasted information and assumptions. Changes in these assumptions and forecasts could impact the recoverable amounts of assets and any calculated impairment and reversals thereof. Also refer notes 8, 9 and 12.

(iii) Provision for zakat

The calculation of the Group's zakat charge necessarily involves a degree of estimation and judgment in respect of certain items whose treatment cannot be finally determined until resolution has been reached with the relevant authority or, as appropriate, through a formal legal process. The final resolution of some of these items may give rise to material profits / (losses) and/or cash flows.

(iv) Estimating the discount rate to determine the fair valuation of loans

The fair value of new financial liabilities is determined by discounting the estimated future contractual cash flows over the revised repayment period using an appropriate discount rate representative of prevailing market conditions at the restructuring effective date.

The determination of the discount rate involves significant estimation and requires management to apply judgement in assessing the time value of money and the credit risk specific to the Group and the restructured facilities. In estimating the discount rate, management considered, among other factors, observable market rates for comparable financing instruments with similar tenors, currency, repayment profiles and risk characteristics, as well as the Group's credit standing following the restructuring. Also refer notes 25.

6. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

6.1 The areas requiring the most significant estimates and assumptions in the preparation of the consolidated financial statements are explained below: (continued)

(v) Estimation of useful life and residual value

The useful life used to amortize or depreciate intangible assets or property, plant and equipment respectively relates to the expected future performance of the assets acquired and management's judgement based on technical evaluation of the period over which economic benefit will be derived from the asset. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. An asset's expected life and residual value have a direct effect on the depreciation charged in the consolidated statement of profit or loss.

The useful lives and residual values of Group's assets are determined by management based on technical evaluation at the time the asset is acquired and reviewed annually for appropriateness. The lives are based on historical experience with similar assets as well as anticipation of future events which may impact their life such as changes in technology.

(vi) Recoverability of loans given to equity accounted investments

Loans given to equity accounted investments which are in management judgment not expected to be recovered or settled in foreseeable future are considered for impairment as per the requirements of IFRS-9 general approach. The recoverability is assessed by the management based on estimated future cash flows which are subject to uncertainty. Refer note 42.1.

6.2 The areas requiring the most significant judgments in the preparation of the consolidated financial statements are explained below:

(i) Identification of CGUs

The classification of assets into CGUs requires significant judgement and interpretations with respect to the integration between assets, generation of independent cash flows by the assets, the existence of active markets and external users. Also refer note 45.

(ii) Determination of control, joint control and significant influence

Subsidiaries are all investees over which the Group has control. Management considers that it controls an entity when the Group is exposed to or has rights to the majority of the variable returns from its involvement with the investee and the ability to use its power over the investee, legal and contractual ability to exercise power, to affect the amount of those returns through its power to direct the relevant activities of the investees.

The determination about whether the Group has power depends on the way decisions about the relevant activities are made and the rights the Group has, in relation to the investees. Generally, there is a presumption that having majority of voting rights results in control. To support this presumption and when the Group has equal or less than a majority of the voting or similar rights of an investee, the Group considers all other relevant facts and circumstances in assessing whether it has power over an investee, including any contractual and other such arrangements which may affect the activities which impact investees' return. Hence, the Group has consolidated investees, which meet the above criteria of control as part of the Group's consolidated financial statements.

(iii) Determining whether the Group or component of the Group is acting as an agent or principal

Principles of IFRS 15 are applied by identifying each specified (i.e., distinct) good or service promised to the customer in the contract and evaluating whether the entity under consideration obtains control of the specified good or service before it is transferred to the customer. This assessment requires significant judgment as a certain portion of the Group's revenue is derived from marketing agreements, whereby in some cases, the Group purchases products from its joint ventures and associates and sells these to end customers.

7. NEW STANDARD AND AMENDMENTS TO EXISTING STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following standard and amendments to existing standards are issued, but not yet effective, up to the date of issuance of the Group's consolidated financial statements:

Amendment to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments - effective 1 January 2026

These amendments:

- clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and
- make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

The Group will apply the above standards and amendments from their effective dates. The Group has not yet undertaken an assessment to determine potential impacts on the amounts reported and disclosures to be made under the applicable new standards or amendments to existing standards.

IFRS 18, 'Presentation and Disclosure in Financial Statements' - effective 1 January 2027

This is the new standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss with defined subtotals;
- requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss
- required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The Group is in the process of determining the impact on applying IFRS 18. The group has prepared a transition plan and is on track to report our first IFRS 18-compliant interim financial statements for the period ending 31 March 2027 and annual financial statements for the period ending 31 December 2027.

The group is performing a detailed assessment to determine the appropriate classification of items in the consolidated statement of profit or loss to ensure compliance with the requirements of IFRS 18. The group expects significant changes as a result of reclassifying foreign exchange gains and losses within operating activities as well as the reclassification of share of net results from associates and joint ventures and finance income as part of a new subtotal within a new 'investing' category. Furthermore, the new aggregation and disaggregation requirements will lead into changes to present the most useful structured summary.

The group currently reports an adjusted EBITDA measure in the consolidated financial statements. The group expects that this measure will meet the definition of a management-defined performance measure in compliance with the requirements of IFRS 18. The group is performing an assessment of other measures that are currently being reported outside the financial information and whether or not these meet the definition of a management-defined performance measure.

(All amounts in SR'000 unless otherwise stated)

8. PROPERTY, PLANT AND EQUIPMENT

	Land, buildings and leasehold improvements	Plant, machinery and equipment	Tools and capital spares	Furniture, fixtures and equipment	Motor vehicles	Computers	Catalysts	Total
Cost								
As at 1 January 2024	1,269,945	4,393,460	43,041	23,086	16,490	16,488	46,176	5,808,686
Additions	2,580	44,861	8,774	172	1,181	11,845	4,900	74,313
Acquisitions through business combinations (note 45)	262,349	1,374,136	-	-	-	-	-	1,636,485
Disposals	(1,353)	(13,627)	(2,139)	(692)	(3,471)	(786)	(37,978)	(60,046)
Transfers (note 9 & 11)	2,145	11,600	-	587	-	-	7,075	21,407
As at 31 December 2024	1,535,666	5,810,430	49,676	23,153	14,200	27,547	20,173	7,480,845
Additions	**5,396**	**26,358**	**10,221**	**1,260**	**2,227**	**534**	**-**	**45,996**
Disposals	**(2,123)**	**(25,491)**	**(2,378)**	**(2,349)**	**(2,242)**	**(98)**	**-**	**(34,681)**
Transfers (note 9 & 11)	**234,951**	**(234,538)**	**(2,433)**	**-**	**-**	**2,427**	**-**	**407**
Reclassified to assets held for sale (note 46)	**(262,099)**	**(983,291)**	**(15,070)**	**(4,684)**	**(3,053)**	**(5,170)**	**-**	**(1,273,367)**
As at 31 December 2025	**1,511,791**	**4,593,468**	**40,016**	**17,380**	**11,132**	**25,240**	**20,173**	**6,219,200**
Accumulated depreciation/impairment								
As at 1 January 2024	500,687	1,487,237	34,188	21,013	14,573	15,020	36,806	2,109,524
Charge for the year	40,880	181,917	4,607	793	850	868	4,886	234,801
Disposals	(1,042)	(14,811)	(329)	(660)	(2,826)	(374)	(29,359)	(49,401)
As at 31 December 2024	540,525	1,654,343	38,466	21,146	12,597	15,514	12,333	2,294,924
Charge for the year	**70,500**	**291,022**	**7,275**	**895**	**1,047**	**1,969**	**3,524**	**376,232**
Impairment for the year (note 8.4)	**217,274**	**1,182,592**	**-**	**-**	**-**	**2,055**	**-**	**1,401,921**
Disposals	**(2,123)**	**(25,491)**	**(2,378)**	**(2,349)**	**(2,242)**	**(98)**	**-**	**(34,681)**
Reclassified to assets held for sale (note 46)	**(93,401)**	**(574,015)**	**(6,202)**	**(4,061)**	**(3,053)**	**(4,888)**	**-**	**(685,620)**
As at 31 December 2025	**732,775**	**2,528,451**	**37,161**	**15,631**	**8,349**	**14,552**	**15,857**	**3,352,776**
Net carrying value								
As at 31 December 2025	**779,016**	**2,065,017**	**2,855**	**1,749**	**2,783**	**10,688**	**4,316**	**2,866,424**
As at 31 December 2024	995,141	4,156,087	11,210	2,007	1,603	12,033	7,840	5,185,921

8.1 Land, buildings and leasehold improvements include freehold land amounting to SR 110 million (2024: SR 110 million).
8.2 Leasehold improvements were built on certain lands which are leased from the government at nominal rents, for periods up to 30 years, and renewable for further periods.
8.3 As at 31 December 2025 property, plant and equipment with a net carrying value of SR 2,205 million (2024: SR 4,885 million) have been pledged as collateral for borrowings. Also refer note 25.1.

(All amounts in SR'000 unless otherwise stated)

8. PROPERTY, PLANT AND EQUIPMENT (continued)

8.4 During the year ended 31 December 2025**,** in compliance with the applicable accounting standards, the Group has performed an impairment assessment of certain Cash Generating Units ('CGUs') impacted by macroeconomic uncertainties and market dynamics. The carrying value of these CGUs were compared to their recoverable amount determined using value-in-use calculations based on discounted cash flow model. As a result of such assessment:

- An impairment of SR 1,768 million was recorded (2024: SR nil) for respective assets of Slagger CGU due to unprecedented extended downturn in the global TiO2 markets impacting the demand for titanium chloride slag and adverse impact of higher power tariff on the operating costs. Key assumptions used in the analysis include a discount rate of 11.5%, terminal growth rate of 2.5%. Also refer note 9 & 10.
- An impairment of SR 340 million was recorded (2024: SR nil) for respective assets of SAMCO CGU. Key assumptions used in the analysis include a discount rate of 10.6%, terminal growth rate of 2.5%
- Other assumptions include achieving capacity utilization levels estimated based on third parties' forecasts for the industry and in consideration of historical results, the expected timing and costs to achieve the operational milestones based on the approved business plan. Management believes that any reasonable change in the discount rate, growth rate or in any of the other assumptions used for cash flow projections, individually, could change the possible outcome of the impairment analysis.

9. PROJECTS UNDER PROGRESS

	2025	**2024**
As at 1 January	**467,928**	387,441
Additions	**266,499**	92,017
Capitalization of borrowing cost (note 37)	**9,842**	12,361
Acquisitions through business combinations (note 45)	**-**	848
Impairment for the year (note 8.4)	**(666,958)**	-
Reclassified to assets held for sale	**(9,244)**	-
Transfer to property, plant and equipment (note 8)	**(407)**	(24,739)
As at 31 December	**67,660**	467,928

Projects under progress mainly represent costs related to an ilmenite smelting complex in Jazan ((the "Slagger") producing high quality chloride slag, slag fines, basic and high purity pig iron and certain costs for expansion of production lines, safety and environmental improvement costs.

On 11 February 2025, AMIC entered into a letter agreement with Tronox pursuant to which all provisions of the Option Agreement were extinguished including the parties' respective rights and obligations in and to the Option Agreement and any claims arising thereunder except for AMIC's obligation to repay the balance of Tronox Loan and interest accrued thereunder on 20 February 2025. Accordingly, the outstanding balance of Tronox Loan (principal and interest) was fully repaid by AMIC on 20 February 2025. For the year ended 31 December 2025, repayments of the Tronox loan totalled SR 98.5 million (31 December 2024: SR 255.6 million).

For the year ended 31 December 2025, Tronox purchased feedstock material produced by the Slagger amounting to SR 174.8 million (2024: SR 339.8 million). Such sales and related costs are recorded under "Revenue" and "Cost of revenue" respectively in the consolidated statement of profit or loss.

(All amounts in SR'000 unless otherwise stated)

10. RIGHT-OF-USE ASSETS

The Group holds various properties and vehicles on lease. Rental contracts period after considering extension options reach between 3 to 40 years. Lease terms are negotiated on an individual basis and contain different terms and conditions. The lease agreements do not impose any covenants.

The carrying amounts of the Group's right-of-use assets and the movements during the year were as follows:

	Land and buildings	Motor vehicles	Total
As at 1 January 2024	141,729	14,637	156,366
Additions	26,619	6,925	33,544
Depreciation expense	(23,373)	(5,212)	(28,585)
As at 31 December 2024	144,975	16,350	161,325
Additions	**1,138**	**3,402**	**4,540**
Depreciation expense	**(22,954)**	**(6,564)**	**(29,518)**
Impairment for the year (note 8.4)	**(39,178)**	**-**	**(39,178)**
Reclassified to assets held for sale (note 46)	**(3,044)**	**-**	**(3,044)**
As at 31 December 2025	**80,937**	**13,188**	**94,125**

Set out below, are the amounts recognized in consolidated statement of profit or loss:

	2025	2024
Depreciation expense of right-of-use assets	**29,518**	28,585
Finance costs on lease liabilities (note 27)	**9,388**	16,578
Rent expense - short-term leases	**2,404**	1,332
Total amounts recognized in consolidated statement of profit or loss	**41,310**	46,495

The Group had total cash outflows for leases of SR 41.7 million in 2025 (2024: SR 36.7 million).

11. INTANGIBLE ASSETS

	Goodwill	Customer relationships	Technological and software licenses	Total
Cost				
As at 1 January 2024	364,284	32,000	275,545	671,829
Additions	-	-	25,622	25,622
Acquisitions through business combinations (note 45)	-	-	1,539	1,539
Disposal	-	-	(185)	(185)
Impairment (note 45)	(364,284)	-	-	(364,284)
Transfer from project under progress (note 9)	-	-	3,332	3,332
As at 31 December 2024	-	32,000	305,853	337,853
Additions	**-**	**-**	**26,344**	**26,344**
Disposal	**-**	**-**	**(3,348)**	**(3,348)**
Reclassified to assets held for sale (note 46)	**-**	**-**	**(6,255)**	**(6,255)**
As at 31 December 2025	**-**	**32,000**	**322,594**	**354,594**
Amortization				
As at 1 January 2024	-	-	157,638	157,638
Charge for the year	-	3,200	14,007	17,207
Disposal	-	-	(185)	(185)
As at 31 December 2024	-	3,200	171,460	174,660
Charge for the year	**-**	**3,200**	**20,558**	**23,758**
Disposal	**-**	**-**	**(3,348)**	**(3,348)**
Reclassified to assets held for sale (note 46)	**-**	**-**	**(6,190)**	**(6,190)**
As at 31 December 2025	**-**	**6,400**	**182,480**	**188,880**
Net carrying value				
As at 31 December 2025	**-**	**25,600**	**140,114**	**165,714**
As at 31 December 2024	-	28,800	134,393	163,193

(All amounts in SR'000 unless otherwise stated)

11. INTANGIBLE ASSETS (continued)

The Group tests annually whether goodwill has suffered any impairment by comparing the carrying value with the recoverable amount, which led to a recognition of impairment loss amounting to SR nil (2024: SR 364.3 million). During the year ended 31 December 2024, the Group has recorded an impairment loss for the goodwill initially recognized as a part of acquisition of SAPCO and ETM during year ended 31 December 2023 and was allocated to the Acrylic business unit as a group of CGUs within the Petrochemical operating segment.

12. INVESTMENTS IN EQUITY ACCOUNTED ASSOCIATES AND JOINT VENTURES

	2025	**2024**
Investments in associates (note 12.1)	**1,663,360**	2,516,360
Investments in joint ventures (note 12.2)	**8,388,034**	8,234,376
	10,051,394	10,750,736

12.1 Investments in associates

	2025	**2024**
Investment in Tronox Holdings plc (note 12.1.1)	**1,550,470**	2,390,546
Investments in other associates (note 12.1.2)	**112,890**	125,814
	1,663,360	2,516,360

The movement in investments in associates was as follows:

	2025	**2024**
As at 1 January	**2,516,360**	2,764,113
Share of loss	**(505,996)**	(110,420)
Impairment during the year	**(464,415)**	-
Other adjustments	**2,408**	-
Share of other comprehensive income/ (loss)	**176,705**	(61,714)
Dividend income	**(61,702)**	(75,619)
As at 31 December	**1,663,360**	2,516,360

12.1.1 Tronox Holdings plc

Tronox Holdings plc ("Tronox") a public limited company incorporated under the laws of England and Wales is one of the world's leading producers of high-quality titanium products, including titanium dioxide pigment, specialty-grade titanium dioxide products and high-purity titanium chemicals and zircon. Tronox also mines titanium-bearing mineral sands and operate upgrading facilities that produce high-grade titanium feedstock materials, pig iron and other minerals. The Group owns 23.70% (2024: 23.79%) shareholding in Tronox. For Group's effective shareholding percentage refer to note 1.2 of the consolidated financial statements.

Movement in the carrying amount of investment in Tronox using the equity method of accounting is as follows:

	2025	**2024**
As at 1 January	**2,390,546**	2,618,410
Share of loss	**(503,040)**	(95,687)
Impairment during the year	**(464,415)**	-
Share of other comprehensive income / (loss)	**176,705**	(61,714)
Dividend income	**(49,326)**	(70,463)
As at 31 December	**1,550,470**	2,390,546

(All amounts in SR'000 unless otherwise stated)

12. INVESTMENTS IN EQUITY ACCOUNTED ASSOCIATES AND JOINT VENTURES (continued)

12.1 Investments in associates (continued)

12.1.1 Tronox Holdings plc (continued)

Tronox is listed on the New York Stock Exchange and its shares are publicly traded. The value of the Group's investment in Tronox based on the closing price as at 31 December 2025 was SR 587.7 million (2024: SR 1,419.1 million). The Group has performed an impairment assessment by calculating value in use of Tronox using discounted cash flow model and compared it to the carrying amount in the Group's financial statements, which resulted in an impairment loss amounting to SR 464 million (2024: nil), mainly representing an adjustment to the acquisition-related uplifts included in the carrying amount at the Group level. Key assumptions used in the analysis include a discount rate of 9.25%, terminal growth rate of 2% and EBITDA margins, which have been estimated based on third parties' forecasts for the industry and consideration of historical results. Management believes that a 1% change in the discount rate and growth rate, or a reasonable range of increase or decrease in any of the other assumptions used for cash flow projections, individually, would change the outcome of the impairment analysis for the Group's investment in Tronox.

The share of other comprehensive loss mainly represents the Group's net share in the foreign exchange translation differences, cash flow hedging reserve, and re-measurement of defined benefit plan as reported by Tronox and adjustments in relation to step up in the carrying values as a result of purchase price allocation exercise on the date of acquisition of Tronox by the Group.

The summarised financial information of Tronox is as follows:

	As at 31 December	
	2025	**2024**
Current assets	**9,456,375**	9,064,672
Non-current assets	**17,259,666**	19,644,635
Current liabilities	**3,386,625**	4,083,750
Non-current liabilities	**16,616,483**	14,458,396
Non-controlling interest	**119,250**	120,375
Equity attributable to the shareholders	**6,593,683**	10,046,786
Group's share of equity and carrying value	**1,550,470**	2,390,546
Cash and cash equivalents	**791,250**	570,000
Financial liabilities – Non-current	**12,479,625**	10,206,375
Financial liabilities – Current (except trade and other payables)	**1,578,000**	2,257,125

	For the year ended 31 December	
	2025	**2024**
Revenue	**10,867,500**	11,527,500
Loss for the year	**(2,108,876)**	(374,887)
Other comprehensive income/ (loss)	**753,780**	(259,410)
Total comprehensive loss	**(1,355,096)**	(634,297)
Group's share of loss	**(503,040)**	(95,687)
Group share of other comprehensive income/ (loss)	**176,705**	(61,714)
Finance cost	**(803,625)**	(693,000)
Income tax expense	**(55,875)**	(474,750)

(All amounts in SR'000 unless otherwise stated)

12. INVESTMENTS IN EQUITY ACCOUNTED ASSOCIATES AND JOINT VENTURES (continued)

12.1 Investments in associates (continued)

12.1.2 Investments in other associates

Following are the other associates of the Group:

National Metal Manufacturing and Casting Company

National Metal Manufacturing and Casting Company ("Maadaniyah") is a Saudi Joint Stock Company. Its head office and principal place of business is in Jubail, Saudi Arabia. As at 31 December 2025, the Group owns 34.93% (2024: 34.93%) of the issued share capital. The main objectives of the company are manufacturing and marketing of drawn wire and related products, various sizes of axles and spare parts for trailers and dumping trucks, steel and non-steel casting, and trading in related products. Maadaniyah is listed on the Saudi stock exchange and its shares are publicly traded. The value of the Group's investment in Maadaniyah based on the closing price as at 31 December 2025 was SR 166.1 million (2024: SR 219.1 million). Based on latest publicly available unaudited financial statements as of 30 September 2025, Maadaniyaah reported total assets of SR 368.5 million, total liabilities of SR 137.2 million, revenue of SR 180.2 million and net loss of SR 14.2 million.

Avient Middle East Industries Company

Avient Middle East Industries Company ("Avient") is a Saudi Limited Liability Company with its head office based in Riyadh, Saudi Arabia. At 31 December 2025, the Group owns 27.5% (2024: 27.5%) of the issued share capital. Avient is engaged in manufacturing and sale of pigments master batch.

The movement in investments in other associates was as follows:

	2025	**2024**
As at 1 January	**125,814**	145,703
Group's share of loss	**(2,956)**	(14,733)
Other adjustments	**2,408**	-
Dividend	**(12,376)**	(5,156)
As at 31 December	**112,890**	125,814

12.2 Investments in joint ventures

	2025	**2024**
Investment in SEPC	**5,450,151**	5,115,631
Investment in SPC	**2,937,883**	3,118,745
	8,388,034	8,234,376

Saudi Ethylene and Polyethylene Company ("SEPC")

SEPC is a mixed limited liability company with its head office and principal place of business based in Jubail, Saudi Arabia. The authorized and issued capital of SEPC is SR 2,737.5 million. The Company is 75% owned by TSOC and 25% of share capital is owned by Basell Moyen Orient Investments SAS. The main objectives of SEPC are producing ethylene, propylene and polyethylene.

Saudi Polyolefins Company ("SPC")

SPC is a mixed limited liability company with its head office and principal place of business based in Jubail, Saudi Arabia. The authorized and issued capital of SPC is SR 600 million. The Company is 75% owned by Tasnee and 25% of share capital is owned by Basell Holding Middle East GMBH. The main objectives of SPC are producing propylene and polypropylene.

(All amounts in SR'000 unless otherwise stated)

12. INVESTMENTS IN EQUITY ACCOUNTED ASSOCIATES AND JOINT VENTURES (continued)

12.2 Investments in joint ventures (continued)

Saudi Acrylic Monomers Company ("SAMCO")

SAMCO is a limited liability company with its head office and principal place of business based in Jubail, Saudi Arabia. The authorized and issued capital of SAMCO is SR 1,084.5 million. The Company was 75% owned by SAAC and 25% of share capital was owned by Rohm & Haas Nederland B.V. During the year ended 31 December 2024, SAAC has acquired the remaining 25% equity interest in SAMCO from Rohm & Haas Nederland B.V, increasing its interest in SAMCO from 75% to 100% and thereby obtained control over SAMCO, hence not included in investment in joint venture. Also refer note 45. The main objectives of SAMCO are producing Crude Acrylic Acid, Glacial Acrylic Acid, Butyl Acrylate and Ethylhexyl Acrylate.

The movement in investments in significant joint ventures was as follows:

	2025	**2024**
As at 1 January	**8,234,376**	8,497,579
Group's share of profit	**148,663**	603,985
Additions to long term interest (note 12.2.1)	**385,142**	447,498
Loss on fair valuation of existing interest (note 45)	**-**	(416,108)
Deemed disposal on business acquisition (note 45)	**-**	(31,195)
Dividend income	**(380,147)**	(867,383)
As at 31 December	**8,388,034**	8,234,376

12.2.1 This represents funding provided to a joint venture in respect of construction of a new thermal cracking furnace.

The summarized financial information of significant joint ventures was as follows:

	2025		**2024**		
	SEPC	**SPC**	**SEPC**	**SPC**	**SAMCO** (note 45)
Current assets	**2,158,159**	**1,323,417**	2,553,277	1,687,428	-
Non-current assets	**5,428,650**	**1,284,550**	4,715,603	1,239,571	-
Current liabilities	**1,896,521**	**501,487**	1,510,368	574,797	-
Current financial liabilities (excluding trade and other payables and provisions)	**969,000**	**-**	583,858	-	-
Non-current liabilities	**134,934**	**18,842**	154,327	23,152	-
Net assets	**5,555,354**	**2,087,638**	5,604,185	2,329,050	-
Group's share of net assets	**4,166,516**	**1,565,729**	4,203,139	1,746,788	-
Goodwill	**215,605**	**1,359,538**	215,605	1,359,538	-
Additions to long term interest	**969,000**	**-**	583,858	-	-
Other adjustments*	**99,030**	**12,616**	113,029	12,419	-
Carrying value	**5,450,151**	**2,937,883**	5,115,631	3,118,745	-
Revenues	**4,304,314**	**2,803,299**	4,990,761	3,213,487	1,484,450
Profit / (loss) for the year	**251,169**	**(41,412)**	543,343	136,161	111,164
Group's share of profit / (loss)	**187,753**	**(39,090)**	422,815	100,783	80,387
Finance income / (expense)	**31,948**	**14,252**	20,675	16,396	(68,449)
Depreciation and amortization	**475,822**	**234,200**	469,708	237,128	160,399
Zakat / income tax expense	**41,296**	**27,740**	59,776	36,405	22,875
Dividends	**238,375**	**141,772**	559,208	308,175	-

The current assets include cash and cash equivalents amounting to SR 159 million and SR 430 million for SPC and SEPC respectively.

* Other adjustments added to actualize JVs' retained earnings after absorption of zakat / tax by the shareholders.

(All amounts in SR'000 unless otherwise stated)

12. INVESTMENTS IN EQUITY ACCOUNTED ASSOCIATES AND JOINT VENTURES (continued)

12.3 Other joint venture of the Group:

Advanced Metal Industries Cluster and Toho Titanium Metal Company Limited

Advanced Metal Industries Cluster and Toho Titanium Metal Company Limited ("ATTM") is a mixed limited liability company with its head office based in Jeddah, Saudi Arabia. The authorized and issued capital of ATTM is SR 1,687.5 million. The company is 65% owned by AMIC and 35% owned by Toho Titanium Company Limited. The principal place of business of ATTM is in Yanbu, Saudi Arabia and the main objectives of ATTM are producing Titanium Sponge and its by-products. For Group effective shareholding percentage refer to note 1.2 of the consolidated financial statements.

The carrying value of the Group's investments in other joint venture as at 31 December 2025 and 2024 is nil. The un-recognized share of loss of this joint venture was SR 85.4 million for 2025 (2024: SR 48 million). Cumulatively, the un-recognized share of loss of this joint venture is SR 394.4 million (2024: SR 309 million). The share of loss from such joint venture is not required to be recognized in Group's profit / (loss), in accordance with applicable standards.

13. INVESTMENTS IN FINANCIAL ASSETS DESIGNATED AS FVOCI

Equity investments at FVOCI comprise the following individual investments:

	2025	**2024**
Quoted Securities		
Sahara Petrochemical Co.	**69,951**	116,025
Yanbu National Petrochemicals Company SJSC	**61,198**	84,181
Saudi Aramco	**51,154**	60,213
Al Masane Al Kobra Mining Company (AMAK)	**481,063**	368,997
The Power and Water Utility Company for Jubail and Yanbu	**3,682**	5,480
	667,048	634,896
Unquoted Securities		
Industrialization and Energy Services Company (TAQA)	**261,315**	239,966
Others	**58,749**	86,572
	320,064	326,538
	987,112	961,434

Movements in investments in FVOCI equity instruments:

	2025		**2024**	
	Quoted equity shares	**Unquoted equity shares**	**Quoted equity shares**	**Unquoted equity shares**
As at 1 January	**634,896**	**326,538**	636,815	392,215
Fair value gain / (loss) recognized in OCI	**32,152**	**(3,261)**	(1,919)	(65,677)
Disposals	**-**	**(3,213)**	-	-
As at 31 December	**667,048**	**320,064**	634,896	326,538

During the year, the following gain / (loss) was recognized in other comprehensive income:

	2025	**2024**
Gains/ (losses) recognized in other comprehensive income		
Quoted Securities	**32,152**	(1,919)
Unquoted Securities	**(3,261)**	(65,677)
	28,891	(67,596)

For further details refer to note 23 and note 41.

(All amounts in SR'000 unless otherwise stated)

14. INVESTMENTS IN DEBT SECURITIES

The Group invested SR 175 million (2024: SR 125 million) in Sukuk funds of a local KSA commercial bank having maturity of 5 years and earning commission at fixed normal commercial rates. Income of SR 9.5 million (2024: SR 6.8 million) was recognized in respect of this investment during the year.

15. OTHER NON-CURRENT ASSETS

	2025	2024
Home loan receivable (HLP) (note 15.1)	**109,891**	119,487
Receivable against Housing Ownership Program (HOP) (note15.1)	**82,213**	105,899
Prepaid employee benefits	**26,984**	34,382
Derivative financial instruments (note 15.2)	**-**	23,107
Loans to joint ventures – (note 15.3)	**673,376**	504,273
	892,464	787,148

15.1 Home loan receivable (HLP) & Housing Ownership Program (HOP)

These are secured receivables from employees over a period of 8 to 15 years and repaid by employees in monthly instalments deducted from their payroll. The current portion of HOP and HLP amounting to SR 47.3 million (2024: SR 57.7 million) is disclosed as part of employee's receivable in note 18 of these consolidated financial statements. The HLP receivables are interest free and are measured at amortized cost using the effective interest rate (EIR) method. Also refer note 42.1.

15.2 Derivative financial instruments

The Group has entered into an interest rate swap arrangement ("hedge instrument") with a local KSA commercial bank for a certain portion of its long-term borrowings to hedge against the changes in the SAIBOR ("hedge item") such as to economically convert a portion of its variable rate debt to fixed rate debt with a hedge ratio of 50%. This interest rate swap arrangement has a notional amount of SR 1,000 million with maturity in May 2026. However, the contract was terminated during the year ended 31 December 2025. The fair value amounts of the interest rate swap arrangement outstanding as at 31 December 2025 was nil (31 December 2024: SR 23.1 million).

15.3 Loans to joint ventures

The Group has provided loans to certain joint ventures to support their operations. These loans are interest bearing at mutually agreed rates with a fixed maturity and are subordinated to the external borrowings of the joint ventures. The Group has mitigated its exposure by recording an accumulated impairment against certain loans provided to a joint venture amounting to SR 257 million (2024: SR 257 million) due to continued losses and associated recovery risk.

The movement in loans to joint ventures was as follows:

	2025	2024
As at 1 January	**761,379**	839,186
Interest during the year	**32,780**	29,823
Additions during the year	**79,000**	-
Transfer during the year (note 39.4)	**57,323**	-
Settlement upon business acquisition (note 45)	**-**	(107,630)
Total loans	**930,482**	761,379
Less: impairment of loans to joint ventures	**(257,106)**	(257,106)
As at 31 December	**673,376**	504,273

The closing provision represents the lifetime ECL on loans categorized as non-performing in compliance with the Group's accounting policies.

(All amounts in SR'000 unless otherwise stated)

16. INVENTORIES

	2025	2024
Raw materials	**154,181**	238,573
Finished goods	**365,860**	277,416
Work in progress	**46,075**	80,186
Consumables and spares	**305,019**	313,382
	871,135	909,557
Less: provision for slow moving inventories	**(69,926)**	(62,015)
	801,209	847,542

Movement in the provision for slow moving inventory items was as below:

	2025	2024
As at 1 January	**62,015**	39,127
Charge for the year	**11,048**	3,888
Reclassified to assets held for sale (note 46)	**(3,137)**	-
Acquisitions through business combinations (note 45)	**-**	19,000
As at 31 December	**69,926**	62,015

During 2025, a write down of inventory amounting to SR 9.5 million (2024: SR 3.9 million) was recognized as an expense in the consolidated statement of profit or loss to reduce certain inventory items to their net realizable value.

17. ACCOUNTS RECEIVABLE

	2025	2024
Trade receivables	**977,918**	1,202,829
Due from related parties - trade (note 39.2)	**49,525**	117,135
	1,027,443	1,319,964
Less: impairment of trade receivables	**(31,169)**	(62,465)
	996,274	1,257,499

The movement in the provision for impairment of receivables was as below:

	2025	2024
As at 1 January	**62,465**	94,905
Charge / (reversal) for the year	**11,484**	(5,472)
Reclassified to assets held for sale (note 46)	**(16,460)**	-
Write-offs	**(26,320)**	(26,968)
As at 31 December	**31,169**	62,465

The carrying value of the accounts receivable approximates their fair value.

The Group sells a broad range of industrial and performance chemicals and plastic products to a diverse group of customers to various industries, operating throughout the world. The Group's credit risk management policies are disclosed in note 42.1.

(All amounts in SR'000 unless otherwise stated)

18. PREPAYMENTS AND OTHER CURRENT ASSETS

	2025	2024
Due from related parties - non-trade (note 39.2)	**209,279**	148,037
Employees' receivables (note 15.1)	**141,191**	133,033
Prepaid expenses	**61,903**	76,119
VAT refund receivable	**138,078**	283,386
Advances to suppliers	**49,496**	143,140
Loan to joint venture (note 39.2 & 39.4)	**-**	57,323
Other receivables	**152**	425
	600,099	841,463

19. SHORT TERM INVESTMENTS

These represent Murabaha placed in local KSA commercial banks for different periods with original maturities of more than three months but less than one year based on the cash requirements of the Group and earn a commission at normal commercial rates.

20. CASH AND BANK BALANCES

	2025	2024
Short-term deposits and Murabaha (note 20.1)	**1,868,778**	3,365,190
Bank balances	**149,422**	422,218
Cash and cash equivalents	**2,018,200**	3,787,408
Bank balances – restricted (note 20.2)	**-**	302,244
	2,018,200	4,089,652

20.1 Short-term deposits and Murabaha represent Murabaha placed in local KSA commercial banks for different periods (varying from one day to three months), based on the cash requirements of the Group and earn a commission at normal commercial rates.

20.2 This represents balances in debt service reserve accounts of certain of the Group's subsidiaries, which are restricted, pending completion of on-going restructuring negotiations with commercial lenders of the subsidiaries. Utilization of these funds is subject to the prior consent of commercial lenders until the on-going debt restructuring negotiations conclude (also refer note 25.2).

20.3 At 31 December 2025, the Group has funds amounting to SR 76.4 million (31 December 2024: SR 76.4 million) that are held in separate bank accounts within KSA related to unclaimed dividend.

21. SHARE CAPITAL

Share capital amounted to SR 6,689,142 thousand as at 31 December 2025 (2024: SR 6,689,142 thousand) consisting of 668,914 thousand shares (2024: 668,914 thousand shares) of SR 10 each.

The shareholders of Tasnee, during the 22nd Extraordinary General Assembly meeting held on 11 May 2025 corresponding to 13 Dhu al-Qidah 1446H), approved the purchase up to 66,891,416 shares of the Company to be held as treasury shares. During the year ended 31 December 2025, the Company executed a buyback of 4,686,430 of its own shares from the open market. The total consideration paid for the buyback of shares amounted to SR 49.3 million. The purchase was completed in compliance with the relevant provisions of the regulations. The repurchased shares are held as treasury shares and are presented as a deduction from equity in accordance with the applicable accounting standards.

22. STATUTORY RESERVE

In accordance with the Company's previous By-laws, the Company was required to maintain the statutory reserve by allocating each year 10% from the net profit of the year until the statutory reserve reaches 30% of share capital. Pursuant to the newly enacted Regulations for Companies, the shareholders of Tasnee, during the 21st Extraordinary General Assembly meeting held on 18 April 2024 (corresponding to 9 Shawal 1445H), resolved to amend the Company's By-laws to the effect of reducing the maximum amount of statutory reserve to be maintained at 10% of the Company's paid up capital and approved transferring the excess balance of the statutory reserve, amounting to SR 905.3 million, to the retained earnings.

(All amounts in SR'000 unless otherwise stated)

23. OTHER RESERVES

As at 31 December 2025, details of other reserves were as follows:

	Foreign currency translation reserve	Cash flow hedge reserve (note 15)	Actuarial (losses) / gains reserve (note 26)	Financial asset at fair value through OCI (note 13)	Other (note 23.1)	Total
As at 1 January	**(252,484)**	**24,958**	**3,175**	**502,448**	**(926,644)**	**(648,547)**
Revaluation of cash flow hedge	**-**	**(23,107)**	**-**	**-**	**-**	**(23,107)**
Re-measurement of defined benefit plan	**-**	**-**	**(28,585)**	**-**	**-**	**(28,585)**
Gain on investments in equity instruments designated as FVOCI	**-**	**-**	**-**	**28,891**	**-**	**28,891**
Share of other comprehensive (loss) / income of associates and joint ventures	**185,202**	**(10,264)**	**1,767**	**-**	**-**	**176,705**
Other comprehensive (loss) / income	**185,202**	**(33,371)**	**(26,818)**	**28,891**	**-**	**153,904**
NCI share of OCI	**38,892**	**(2,155)**	**(312)**	**(378)**	**-**	**36,047**
OCI attributable to equity holders of Parent	**146,310**	**(31,216)**	**(26,506)**	**29,269**	**-**	**117,857**
Transfer on disposal of FVOCI investments	**-**	**-**	**-**	**18,556**	**-**	**18,556**
As at 31 December	**(106,174)**	**(6,258)**	**(23,331)**	**550,273**	**(926,644)**	**(512,134)**

As at 31 December 2024, details of other reserves were as follows:

	Foreign currency translation reserve	Cash flow hedge reserve (note 15)	Actuarial (losses) / gains reserve (note 26)	Financial asset at fair value through OCI (note 13)	Other (note 23.1)	Total
As at 1 January	(198,815)	37,299	(8,555)	569,834	(923,107)	(523,344)
Revaluation of cash flow hedge	-	(9,800)	-	-	-	(9,800)
Re-measurement of defined benefit plan	-	-	5,034	-	-	5,034
Loss on investments in equity instruments designated as FVOCI	-	-	-	(67,596)	-	(67,596)
Share of other comprehensive loss / (income) of associates and joint ventures	(67,936)	(3,217)	9,439	-	-	(61,714)
Other comprehensive loss	(67,936)	(13,017)	14,473	(67,596)	-	(134,076)
NCI share of OCI	(14,267)	(676)	2,743	(210)	-	(12,410)
OCI attributable to equity holders of Parent	(53,669)	(12,341)	11,730	(67,386)	-	(121,666)
Acquisition of non-controlling interests	-	-	-	-	(3,537)	(3,537)
As at 31 December	(252,484)	24,958	3,175	502,448	(926,644)	(648,547)

23.1 Other represents reserve relating to the acquisition of non-controlling interests.

(All amounts in SR'000 unless otherwise stated)

24. NON-CONTROLLING INTERESTS

24.1 Accumulated non-controlling interests as at the consolidated statement of financial position date were as follows:

Entity	2025	2024
TSOC – note 24.3	**2,596,369**	2,391,835
Others	**(266,909)**	(146,816)
	2,329,460	2,245,019

24.2 Consolidated statement of profit and loss allocated to non-controlling interests during the year were as follows:

Entity	2025	2024
TSOC – note 24.3	**451,722**	(6,983)
Others	**(152,640)**	(242,720)
	299,082	(249,703)

24.3 Summarised financial information from TSOC's consolidated financial statements was as follows:

	2025	2024
Non-controlling interests %	**39.55%**	39.55%
Current assets	**982,436**	3,102,625
Non-current assets	**8,130,746**	8,281,878
Current liabilities	**732,977**	5,274,630
Non-current liabilities	**1,512,357**	227,026
Total equity	**6,867,848**	5,882,847
Equity Attributable to owners of the company	**6,564,777**	6,047,625
Non-controlling interests of the company	**303,071**	(164,778)
Non-controlling interests of the Group	**2,596,369**	2,391,835
Revenue	**1,480,093**	1,142,340
Profit for the year	**1,610,002**	(226,779)
Profit attributable to owners of the company	**1,142,154**	(17,655)
Loss attributable to non-controlling interests	**467,848**	(209,124)
Total comprehensive income for the year	**1,610,002**	(226,779)
Total comprehensive income attributable to owners of the company	**1,142,154**	(17,655)
Total comprehensive loss attributable to the non-controlling interests of the Company	**467,848**	(209,124)
Total comprehensive income attributable to the non-controlling interests of the Group	**451,722**	(6,983)
Dividend paid to NCI	**247,188**	-
Cash generated from operating activities	**309,853**	265,808
Cash (used in) / generated from investing activities	**(204,779)**	288,896
Cash used in financing activities	**(1,705,098)**	(59,156)

Refer note 45 for comparative information.

(All amounts in SR'000 unless otherwise stated)

25. LONG-TERM BORROWINGS

	Note	2025	2024
Saudi Industrial Development Fund	25.1	**1,190,411**	1,491,777
Commercial banks	25.2	**4,968,182**	6,932,605
		6,158,593	8,424,382
Add: Accrued finance cost		**23,542**	297,452
Less: Unamortized finance cost		**(812,211)**	(66,840)
		5,369,924	8,654,994
Less: Long-term borrowings – current portion		**(2,373,556)**	(4,675,401)
Total non-current loans		**2,996,368**	3,979,593

25.1 Saudi Industrial Development Fund ("SIDF")

The Group has multiple long-term facilities from the Saudi Industrial Development Fund. The total outstanding balance of these loans as at 31 December 2025 amounted to SR 1,190.4 million (31 December 2024: SR 1,491.8 million). Up-front and annual administrative fees are charged by SIDF under the loan agreements. These facilities are secured by mortgages on related property, plant, and equipment of the subsidiaries (refer note 8) for which the loans were granted and promissory notes, and corporate guarantees from the shareholders. The maturities of the loans based on their respective repayment schedules spread up to 2030. During the year ended 31 December 2025, certain subsidiaries of the Group have signed amended loan agreements with SIDF to change the payment profiles and extend the maturity dates of the loans from 2025 to 2033. There were no substantial modifications in other terms and conditions resulting in no material modification gain / loss.

The loan agreements contain certain covenants which require that pertinent companies maintain specified financial ratios, mainly current ratio and tangible net worth ratio. The covenants are monitored regularly by the management and actions are taken to ensure compliances which includes obtaining waivers from SIDF, where required. There was no non-compliance with covenants which requires the loans to be repayable on demand. There are no indications that the Group would have difficulties complying with the covenants when they will be next tested at the reporting date.

25.2 Loans from commercial banks

The Group has multiple Islamic long-term loan facilities from commercial banks. The outstanding balance of these loans as at 31 December 2025 amounted to SR 4,968.2 million (31 December 2024: SR 6,923.6 million). These loans are secured by promissory notes and carry a commission which commensurate with prevailing commercial rates which are mainly SAIBOR based plus agreed percentage. The maturities of the loans based on their respective repayment schedules spread initially up to 2029.

During 2023, the restructuring discussions with the commercial lenders in respect of debts related to certain subsidiaries of the Group were concluded and a term sheet signed agreeing the terms of the restructuring including extended payment profiles and revised pricing mechanism. During the year ended 31 December 2025, the new refinancing agreements have been signed with effect from 19 February 2025 ("the restructuring effective date"). Pursuant to these agreements, the commercial lenders participated in a prepayment and waiver process and agreed to a partial waiver of loans amounting to SR 1,011 million by settling the loan of SR 1,761 million against prepayment of SR 750 million. The remaining loans amounting to SR 1,309 million have been refinanced at a preferential profit rate and extended repayment period of 15 years up to 2040.

As per the requirements of applicable standards, the restructuring has been accounted for as a substantial modification resulting in the derecognition of the existing liability and recognition of a new liability at fair value calculated as the present value of the estimated future cash flows using an appropriate discount rate representative of the market conditions existing at the restructuring effective date. The discount rate used is determined based on the time value of money for a similar tenor and associated risks. The difference amounting to SR 2,028.9 million between the carrying amount of extinguished liability at the restructuring effective date and the fair value of new liability, prepayment and the restructuring fee has been recognized as gain on debt restructuring in the consolidated statement of profit or loss.

During the year ended 31 December 2025, the Group has signed an amendment letter with a commercial lender in respect of a loan amounting to SR 2 billion and extended the final maturity date to November 2026. The Group's has also received a term sheet from the lender to refinance such loan with an extended repayment profile of 7 years and revised pricing mechanism. The Group is currently finalizing the term sheet with the lender. The outstanding balance of the loan is classified as current liabilities in these consolidated financial statements.

The loan agreements contain certain covenants which among others, require that pertinent companies maintain specified financial ratios, mainly current ratio, gearing ratio and interest cover ratio. The covenants are monitored regularly by management, and in case of breach, actions are taken to ensure compliance including waivers for non-compliance. As at 31 December 2025, the Group was in compliance of these covenants. There are no indications that the Group would have difficulties complying with the covenants when they will be next tested at the reporting date.

(All amounts in SR'000 unless otherwise stated)

25. LONG-TERM BORROWINGS (continued)

25.3 Repayment schedule

The maturity profile of long-term borrowings facilities was as follows:	**2025**	**2024**
Payable on demand	**-**	4,088,605
Within 1 year	**2,350,015**	331,517
1-2 years	**350,249**	2,307,250
2-5 years	**1,903,833**	1,589,355
Above 5 years	**1,554,496**	107,655
	6,158,593	8,424,382

26. EMPLOYEE BENEFITS OBLIGATIONS

The Group's employees in Kingdom of Saudi Arabia and other GCC countries are entitled for end of service benefits in accordance with the provisions of the local labour law and the Group policy. End of service benefit is based on employees' compensation and accumulated period of service and is payable upon termination, resignation or retirement. The Defined Benefit Obligation ("DBO") in respect of employees' end of service benefits is calculated by estimating the future benefit payment that employees have earned in return for their service. This amount applying an appropriate discount rate is used to determine the present value of the Group's obligation.

26.1 Movements in defined benefit obligation

Movements in the present value of defined benefit obligations was as follows:

	2025	**2024**
Defined benefit obligation		
As at 1 January	**605,551**	576,858
Amount of benefits recognized as an expense (note 26.2)	**92,394**	84,877
Benefits paid	**(26,862)**	(51,150)
Changes in assumptions	**13,791**	-
Changes on account of experience adjustments	**14,794**	(5,034)
	28,585	(5,034)
Transfer to liabilities associated with assets held for sale (note 46)	**(40,671)**	-
As at 31 December	**658,997**	605,551

26.2 Amount of benefits recognized as an expense

The amount recognized in consolidated statement of profit or loss in respect of these defined benefit plans are as follows:

	2025	**2024**
Service cost	**59,404**	56,443
Finance cost	**32,990**	28,434
Net annual benefits expense (note 26.2.1)	**92,394**	84,877

26.2.1 Net annual benefit expenses amounting to SR 47.1 million (2024: SR 51.6 million) have been recharged to the Group's joint ventures.

26.3 Significant assumptions

The significant assumptions used in determining existing defined benefit obligations was as follows:

	2025	**2024**
Discount rate	**5.50%**	5.75%
Future salary increases	**4.50%**	4.50%

(All amounts in SR'000 unless otherwise stated)

26. EMPLOYEE BENEFITS OBLIGATIONS (continued)

26.4 Sensitivity analysis:

The sensitivity analyses have been determined based on a method that extrapolates the impact on the defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. It is based on a change in a significant assumption, keeping all other assumptions constant and may not be representative of an actual change in the defined benefit obligation as it is unlikely that changes in assumptions would occur in isolation of one another. The same method has been applied for the sensitivity analysis as when calculating the recognized pension liability.

	2025	2024
Discount rate		
Discount rate is 1% basis points higher, the DBO would decrease by	**(52,635)**	(50,015)
Discount rate is 1% basis points lower, the DBO would increase by	**60,003**	54,757
Future salary increases		
Future salary growth increase by 1%, the DBO would increase by	**60,003**	54,757
Future salary growth decrease by 1%, the DBO would decrease by	**(52,635)**	(50,015)

26.5 The maturity profile of the undiscounted obligation including liability related to assets held for sale was as follows:

	2025	2024
Less than 1 year	**79,981**	64,899
1 year to 5 years	**282,273**	249,636
5 years and above	**2,158,580**	2,033,806
	2,520,834	2,348,341

26.6 The weighted average duration of the plan was 9 years as at 2025 (8.6 years as at 31 December 2024.

27. LEASE LIABILITIES

	2025	2024
As at 1 January	**184,834**	171,455
Repayments during the year	**(41,721)**	(36,743)
Non-cash changes:		
Additions during the year	**4,540**	33,544
Finance costs	**9,388**	16,578
Transfer to Liabilities associated with assets held for sale (note 46)	**(2,886)**	-
	11,042	50,122
As at 31 December	**154,155**	184,834
Less: current portion	**(25,768)**	(29,734)
Non-current portion	**128,387**	155,100

For contractual maturities of lease liabilities refer to note 42.2.

28. OTHER NON-CURRENT LIABILITIES

	Note	2025	2024
Loans due to related parties	39.2	**139,008**	169,980
Loans from minority shareholders	39.2	**364,635**	353,821
Deferred settlement income	28.1	**20,443**	218,727
Deferred obligation on sale of MGT	28.2	**238,279**	209,850
Deferred obligation to joint venture	28.3	**115,873**	114,765
		878,238	1,067,143

28.1 Deferred settlement income

During 2021, the Group has entered into an agreement with one of its minority shareholders to settle the Group's claim in relation to certain conversion projects, which were executed by the Group in prior years. As per the agreement, minority shareholder paid SR 285 million to the Group as full and final settlement to abandon any rights and waive all obligations associated with these projects. This amount is recorded as deferred settlement income and is being amortized over the remaining useful lives of the respective conversion projects (14 – 18 years). During the year, amortization of SR 18.9 million (2024: SR 18.9 million) has been recognized in the consolidated statement of profit or loss and SR 179 million has been reclassified as held for sale.

(All amounts in SR'000 unless otherwise stated)

28. OTHER NON-CURRENT LIABILITIES (continued)

28.2 Deferred obligation on sale of MGT

On 29 December 2019, Cristal, a subsidiary, entered into "Assets Sale and Purchase Agreement" (ASPA) with Tronox Saudi Industries Company ("TSIC"), a wholly owned subsidiary of Tronox Limited, for the sale of Metal Grade TiCl4 Plant ("MGT asset"), for a consideration receivable of USD 36.1 million (equivalent to SR 135.4 million) which is subject to interest at SAIBOR plus a premium. In the same agreement, Cristal also assumed an obligation to pay the fixed charges of $125 per metric ton (total SR 323.8 million) to TSIC for the quantity of TiCl4 delivered to ATTM till ASPA is terminated or supply reaches threshold specified in the ASPA. The purpose of the charges is to secure a long-term supply of TiCl4 from TSIC to ATTM at below market price. The receivable balance is offset against the obligation to TSIC of SR 323.8 million over the period from actual supply of TiCl4 by Tronox. On 17 December 2020, upon completion of regulatory approvals, the transaction was closed, and the Group ceased to have control on MGT assets from that date and a loss on disposal of MGT assets of SR 189 million was recorded during the year 2020. The related net obligation as of 31 December 2025 was SR 238.2 million (2024: SR 209.8 million).

28.3 Deferred obligation to joint venture

As part of the arrangement referred to in note 28.2, the Group has signed a side letter with its joint venture ATTM, to rebase the price of TiCl4 which Tronox Limited will supply to ATTM. This price differential will then be adjusted annually in accordance with the terms of the supply agreement of TiCl4 delivered by TSIC to ATTM and reimbursed by the Group to ATTM to compensate for the increase in base unit price resulting from the sale of the MGT Assets to TSIC. This obligation is a financial liability based on management's best estimate of the future price differential and evaluated at every period close and the difference is charged to consolidated statement of profit or loss account (also refer note 37.2). At 31 December 2025, the obligation to ATTM is amounted to SR 115.9 million (2024: SR 114.8 million).

29. ACCOUNTS PAYABLE

	2025	2024
Due to related parties - trade (note 39.2)	**773,370**	1,115,652
Trade payables	**261,232**	395,936
	1,034,602	1,511,588

30. ACCRUALS, PROVISIONS AND OTHER CURRENT LIABILITIES

	2025	2024
Accrued expenses	**348,918**	358,711
Financial guarantees (note 30.1)	**15,699**	15,699
Accrued employee benefits (note 30.2)	**186,877**	178,198
Dividends payable	**76,483**	76,483
Contract liabilities (note 30.3)	**85,646**	55,594
Loans due to related parties (note 39.2)	**54,980**	155,611
Other liabilities relating to research and development (note 30.4)	**524,738**	535,307
	1,293,341	1,375,603

30.1 Financial guarantees represent the obligations of the Group for guarantees provided to a lender against the loans obtained by loss-making joint ventures.

Movement in financial guarantees was as follows:

	2025	2024
As at 1 January	**15,699**	51,931
Reversal on business acquisition (note 45)	**-**	(36,232)
As at 31 December	**15,699**	15,699

The closing provision of SR 15.7 million (2024: SR 15.7 million) represents 12-month ECL on guarantees categorized as performing in compliance with the Group's accounting policies.

(All amounts in SR'000 unless otherwise stated)

30. ACCRUALS, PROVISIONS AND OTHER CURRENT LIABILITIES (continued)

30.2 This includes the Group's obligation in respect of employees' defined contribution plan amounting to SR 70.1 million (2024: SR 56.1 million).

30.3 Contract liabilities are short term in nature and are expected to turn into recognized revenue shortly after the end of reporting period.

30.4 This represents liability in relation to contributions received from certain JVs for research and development activities (refer note 36.1).

31. ZAKAT AND INCOME TAX PAYABLE

31.1 Zakat and income tax

Movement in the zakat and income tax provision was as follows:

	2025	**2024**
As at 01 January	**957,772**	1,143,933
Paid during the year	**(164,073)**	(215,446)
Acquisitions through business combinations (note 45)	**-**	16,136
Settlement during the year	**6,099**	
Provision during the year, net	**85,298**	13,149
As at 31 December	**885,096**	957,772

31.2 Status of zakat and income tax returns and assessments

The Company

During 2015, the Company received an approval from ZATCA in the Kingdom of Saudi Arabia to file consolidated zakat returns of the Company and its 100% owned Saudi subsidiaries since 2008.The Company has filed consolidated zakat returns and income tax returns with ZATCA up to the years ended 31 December 2024. As at 31 December 2025, the Company has finalized its zakat and income tax status with ZATCA for the periods up to 2022. The Company has received an initial assessment for the year 2023 raising additional liability of SR 3 million (31 December 2024: SR 201 million). The Company has submitted appeal against this assessment which is still under review. During the year 31 December 2024, assessments for several periods were finalized resulted in reassessment of zakat provisions and lower zakat charge during 2024. The management believes that sufficient provisions are recorded, and no additional material liability is likely to arise from open assessments, once finalized.

Subsidiaries

Non-wholly owned subsidiaries in KSA file their zakat and income tax returns individually. Some of these subsidiaries have received initial assessments for several years from the ZATCA, raising additional liability amounting to SR 50 million (31 December 2024: SR 75 million). The subsidiaries have submitted appeals against these assessments which are still under review. Additionally, some subsidiaries had finalized assessments of several periods during the year ended 31 December 2024, resulted in reassessment of provisions for 2024. The management believes sufficient provisions are recorded by the Group wherever necessary and no material additional liability is likely to arise from open assessments, once finalized.

(All amounts in SR'000 unless otherwise stated)

32. REVENUE

	2025	2024
Sale of goods and associated delivery	**2,034,672**	2,430,512
Rendering of services	**175,251**	175,670
Commission income	**135,266**	154,072
Other	**143,533**	263,825
	2,488,722	3,024,079

Revenue from contracts with customers is measured at a transaction price agreed under the contract and the payment is generally due within 90 days from the invoice date depending on specific terms of the contract.

Transaction prices are not adjusted for the time value of money as Tasnee does not have any contracts where the period between the transfer of product or rendering of services to the customer and payment by the customer exceeds one year.

For disaggregated revenue refer to note 40.

33. COST OF REVENUE

	2025	2024
Raw materials, consumables and spare parts	**869,901**	2,046,654
Salaries, wages and benefits	**330,499**	260,094
Depreciation and amortization	**298,453**	156,392
Utilities	**459,266**	297,560
Other overheads	**445,246**	178,878
	2,403,365	2,939,578

34. SELLING AND DISTRIBUTION EXPENSES

	2025	2024
Freight and transportation	**75,556**	68,379
Salaries, wages and benefits	**34,396**	28,791
Distributors' incentives	**31,353**	37,085
Depreciation and amortization	**4,837**	2,701
Other	**22,347**	17,275
	168,489	154,231

35. GENERAL AND ADMINISTRATIVE EXPENSES

	2025	2024
Salaries, wages and benefits	**175,604**	133,766
Depreciation and amortization	**39,862**	41,368
Computer supplies and software expenses	**29,691**	21,047
Consulting and professional fees	**28,632**	24,692
Travel	**4,272**	3,510
Rent	**1,891**	1,851
Other	**59,210**	53,242
	339,162	279,476

(All amounts in SR'000 unless otherwise stated)

36. OTHER INCOME, NET

	2025	2024
Research and development contribution, net (note 36.1)	**82,443**	96,895
Dividend income from equity investments held at FVOCI	**25,696**	28,564
Other	**20,507**	4,757
	128,646	130,216

36.1 This represents research and development contribution from certain JVs amounting to SR 117.7 million (2024: SR 131.9 million), net of expenses recorded during the year.

37. FINANCE COSTS AND INCOME

	2025	2024
Finance costs		
Long-term borrowings	**315,609**	321,723
Related party loans (note 39.2)	**11,195**	17,435
Lease liabilities (notes 10 & 27)	**9,053**	16,167
Remeasurement of financial obligation (note 37.2)	**38,950**	24,615
	374,807	379,940
Finance income		
Income from Murabaha and other	**(170,410)**	(252,096)
Net finance costs	**204,397**	127,844

37.1 Finance costs do not include the capitalized borrowing costs as referred in note 9.

37.2 This represents impact of revision in the estimated future cashflows in respect of financial liability to a joint venture discounted at the original effective interest rate. Also refer note 28.3.

38. EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit / (loss) attributable to equity holders of Parent by the weighted average number of ordinary shares issued excluding the impact of weighted average treasury shares. For the year ended 31 December 2025, the weighted average of the shares was 667,723 thousand shares (2024: 668,914 thousand shares).

39. RELATED PARTIES TRANSACTIONS AND BALANCES

In the ordinary course of its activities, the Group conducts business with related parties, based on mutually agreed terms and conditions. Balances and transactions between the Company and its subsidiaries are eliminated. A summary of significant transactions and balances with the related parties is as follows:

39.1 Trading transactions

The following were the significant related party transactions reported in consolidated statement of profit or loss including transactions related to discontinued operations:

	Sale of goods and services		Purchase of goods and services	
	2025	2024	2025	2024
Associates	**174,802**	339,831	**-**	-
Joint ventures	**321,442**	573,620	**551,443**	1,564,002
Others	**28,006**	22,540	**-**	-

(All amounts in SR'000 unless otherwise stated)

39. RELATED PARTIES TRANSACTIONS AND BALANCES (continued)

39.1 Trading transactions (continued)

Sale of goods include the provision of utilities and administrative services of SR 11.1 million (2024: SR 139.9 million) to its associates / joint ventures at cost plus basis and marketing services charge by National Industrialization Petrochemical Marketing Company from its affiliates of SR 135.3 (2024: SR 154.1 million).

Purchases of goods include purchase of petrochemical products from joint ventures at mutually agreed prices.

Also refer notes 12, 15, 30.1,30.4, 36 & 37 in respect of loan to joint venture, other non-trade transactions with related parties including ECL reversal on loan to a joint venture, ECL on financial guarantees to joint ventures, research and development contribution received from joint ventures, finance costs and finance income from related parties.

39.2 Amounts due from / to related parties

The following balances were outstanding as at 31 December 2025 including balances related to assets held for sale:

	Due from related parties			Due to related parties		
	Associates	**Joint Ventures**	**Total**	**Associates**	**Joint Ventures**	**Total**
Current						
Trade	**14,792**	**40,918**	**55,710**	**-**	**848,366**	**848,366**
Other non-trade	**403**	**211,035**	**211,438**	**-**	**-**	**-**
Loans	**-**	**-**	**-**	**-**	**54,980**	**54,980**
	15,195	**251,953**	**267,148**	**-**	**903,346**	**903,346**
Non-current						
Loans	**-**	**673,376**	**673,376**	**-**	**139,008**	**139,008**
Total	**15,195**	**925,329**	**940,524**	**-**	**1,042,354**	**1,042,354**

The following balances were outstanding as at 31 December 2024:

	Due from related parties			Due to related parties		
	Associates	**Joint Ventures**	**Total**	**Associates**	**Joint Ventures**	**Total**
Current						
Trade	28,766	88,369	117,135	7,922	1,107,730	1,115,652
Other non-trade	-	148,037	148,037	-	-	-
Loans	-	57,323	57,323	97,939	57,672	155,611
	28,766	293,729	322,495	105,861	1,165,402	1,271,263
Non-current						
Loans	-	504,273	504,273	-	169,980	169,980
Total	28,766	798,002	826,768	105,861	1,335,382	1,441,243

(i) For significant balances, refer to the respective note to these consolidated financial statements including:

- Other non-trade receivables from joint ventures are mainly related to the provision of services to the Group's joint ventures.
- JV loans are recoverable as per the term of the agreements and are presented as net of provision. For details refer note 15.3.
- Trade payable to joint ventures include VAT refunds as Tasnee is filing Group VAT return including the joint ventures.
- Loans payable to associates represents loan from Tronox under the Option agreement for slagger project (refer to note 9.1).
- Loans payable to JV mainly includes loan provided for HOP and HLP. Refer note 15 for additional details.

(All amounts in SR'000 unless otherwise stated)

39. RELATED PARTIES TRANSACTIONS AND BALANCES (continued)

39.2 Amounts due from / to related parties (continued)

(ii) For related parties obligations pertaining to the sale of MGT asset, refer note 28.3.
(iii) Loans payable to minority shareholders are interest bearing at market rate. For related balances refer note 28.
(iv) Also refer notes 12, 13, 15, 18, 24, 28 in respect of other balances with related parties including investments in equity accounted associates and joint ventures, investments in financial assets designated as FVOCI, employee receivables, deferred settlement income, deferred obligation on sale of MGT, deferred obligation to joint venture, non-controlling interests, financial guarantees to join ventures.
(v) Refer note 30 for research and development contributions from joint ventures. Contribution received during the year ended 31 December 2025 amounts to SR 117.7 million (31 December 2024: SR 131.9 million).

39.3 Compensation of key management personnel

Key managerial personnel are those individuals having authority and responsibility for planning, directing and controlling the activities of the Group, directly or indirectly, includes senior management and board of directors (executive or otherwise). The remuneration of key management personnel during the year was as follows:

	2025	**2024**
Short-term benefits (salaries and allowances)	**25,294**	25,230
Post-employment benefits	**6,671**	5,621

39.4 Long-term advance to a joint venture in relation to forward sale agreement

On 15 July 2020, a subsidiary AMIC entered into 'Forward sale agreement' with a joint venture ATTM. The full amount was paid by the Group during 2020 and considered as financing in accordance with the applicable standards. The amount outstanding as of 31 December 2025 was SR 57 million (2024: SR 57 million) which has been classified as non-current financial asset.

40. SEGMENT INFORMATION

40.1 For management purposes, the Group is organized into business units based on their products and services and has three reportable segments, Metallurgy, Petrochemicals and Downstream & Others described as follows:

Segment	**Description of activities**
Metallurgy	Includes the Group's investment in TiO2 business, production of Titanium sponge and its by-products, project under progress for production of Titanium metals of various types and related substances including Titanium and Iron ore.
Petrochemicals	Includes basic chemicals and polymers. The Group sold several products including Ethylene, Propylene, Butanol, High density polyethylene (HDPE), Low density polyethylene (LDPE), Polypropylene (PP), Butyl Acrylic (BA), Acetic acid and Super absorbent polymers (SAP).
Downstream & Others	Includes the production of liquid batteries for cars, production of lead and sodium sulphate, all kinds of plastic productions and the production of acrylic panels. Also includes the operations of the head office, and technical centres, innovations and investment activities.

The Board of Directors (BoD), which has been identified as the Chief Operating Decision Maker (CODM), monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Transactions between the operating segments are on terms approved by the management. RITC and its subsidiaries included in Downstream & Others Segment and involved in plastic productions and the production of acrylic panels have been classified as "Discontinued operations" in these consolidated financial statements. Refer note 46.

(All amounts in SR'000 unless otherwise stated)

40. SEGMENT INFORMATION (continued)

40.2 The Group's total revenue and expenses from operations for the year then ended, by operating segments, were as follows:

	Metallurgy	Petrochemicals	Downstream & Others	Continuing operations
2025				
Sale of goods	**315,652**	**1,493,908**	**360,378**	**2,169,938**
Rendering of services	**-**	**-**	**175,251**	**175,251**
Others	**-**	**141,473**	**2,060**	**143,533**
Total Segment revenue	**315,652**	**1,635,381**	**537,689**	**2,488,722**
Segment expenses	**(573,137)**	**(1,731,579)**	**(613,452)**	**(2,918,168)**
Impairment of non-financial assets	**(1,768,056)**	**(340,000)**	**-**	**(2,108,056)**
Share of (loss) / profit from associates and joint ventures, net	**(967,455)**	**148,663**	**(2,956)**	**(821,748)**
Depreciation and amortization	**47,751**	**252,210**	**67,905**	**367,866**
Segment EBITDA	**(1,168,438)**	**310,214**	**103,542**	**(754,682)**
2024				
Sale of goods	433,407	1,862,762	376,127	2,672,296
Rendering of services	-	-	175,670	175,670
Others	-	172,555	3,558	176,113
Total Segment revenue	433,407	2,035,317	555,355	3,024,079
Segment expenses	(683,221)	(2,150,067)	(542,323)	(3,375,611)
Impairment of non-financial assets	-	(364,284)	-	(364,284)
Share of profit from associates and joint ventures, net	(95,687)	603,985	(14,733)	493,565
Depreciation and amortization	47,513	104,261	64,849	216,623
Segment EBITDA	(297,834)	489,700	198,241	390,107

The Group calculates EBITDA by adding other income (net), depreciation, amortization and impairment of non-financial assets to the operating profit.

40.3 The Group's total assets and liabilities as at 31 December 2025 and 2024 by operating segments was as follows:

	Metallurgy	Petrochemicals	Downstream & Others	Continuing operations
2025				
Segment assets	**2,775,814**	**12,822,254**	**4,118,809**	**19,716,877**
Segment liabilities	**2,146,224**	**2,591,143**	**5,536,986**	**10,274,353**
Investments in equity accounted associates and joint ventures	**1,550,470**	**8,388,034**	**112,890**	**10,051,394**
2024				
Segment assets	5,021,612	14,975,069	6,129,270	26,125,951
Segment liabilities	1,977,217	5,730,501	6,649,767	14,357,485
Investments in equity accounted associates and joint ventures	2,390,546	8,234,376	125,814	10,750,736

(All amounts in SR'000 unless otherwise stated)

40. SEGMENT INFORMATION (continued)

40.4 The geographical distribution of revenue based on final customers' locations is as follows:

	Metallurgy	Petrochemicals	Downstream & Others	Continuing operations
2025				
KSA	**302,980**	**405,919**	**455,245**	**1,164,144**
Middle East and Asia	**211**	**600,091**	**68,369**	**668,671**
Europe	**12,353**	**338,921**	**8,306**	**359,580**
Africa	**108**	**241,728**	**5,769**	**247,605**
Others	**-**	**48,722**	**-**	**48,722**
	12,672	**1,229,462**	**82,444**	**1,324,578**
Total	**315,652**	**1,635,381**	**537,689**	**2,488,722**
2024				
KSA	418,762	959,677	461,812	1,840,251
Middle East and Asia	2,292	385,490	77,882	465,664
Europe	12,353	386,189	11,146	409,688
Africa	-	257,558	4,515	262,073
Others	-	46,403	-	46,403
	14,645	1,075,640	93,543	1,183,828
Total	433,407	2,035,317	555,355	3,024,079

40.5 The Group's majority of the revenue was recognized at a point in time. In downstream segment, service revenue was recognized over the period of time. As at 31 December 2025, the unfulfilled performance obligations amounted to SR 99.3 million (2024: SR 99.3 million).

41. FAIR VALUATION AND FINANCIAL INSTRUMENTS

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Group takes into account the characteristics of the assets or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

All financial assets and liabilities have been accounted at amortized cost except for the investments in equity instruments designated at FVOCI and derivative instruments which have been carried at fair value either through the consolidated statement of profit or loss or other comprehensive income depending on whether hedge accounting is followed or not.

Management assessed that other current financial assets and liabilities measured at amortized cost approximate their carrying amounts largely due to the short-term maturities of these instruments and/or the contracting rate approximates fair value.

41.1 Fair valuation techniques

For financial reporting purposes, the Group has used the fair value hierarchy categorized in level 1, 2 and 3 based on the degree to which the inputs to the fair value measurement are observable and significance of the inputs to the fair value measurement in its entirety, and describe as follows:

- **Level 1** - quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can assess at the measurement date.
- **Level 2** - inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- **Level 3** - inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The valuation of each publicly traded investment is based upon the closing market price of that stock as at the valuation date, less a discount if the security is restricted.

(All amounts in SR'000 unless otherwise stated)

41. FAIR VALUATION AND FINANCIAL INSTRUMENTS (continued)

41.1 Fair valuation techniques (continued)

Fair values of investments in unquoted equity shares classified in Level 3 are determined based on the EBITDA Multiple and Value in Use model based on the information of the said company as at the date of consolidated statement of financial position. Valuation of investment in TAQA has been carried out using the Comparable Companies Method ('CCM') under the Market Approach using an EBITDA multiple of 8.19 (2024: 6.95). A 10% change in this assumption would reflect in a change in the valuation by approximately SR 18.1 million (2024: SR 12.9 million).

Interest rate swap is classified as Level 2. The Group relies on the counterparty for the valuation of these derivatives. The valuation techniques applied by the counterparties include the use of forward pricing standard models using present value calculations and mid-market valuations.

Details of financial instruments carried at fair value was as below:

Nature of financial instrument	Carrying value	Level 1	Level 2	Level 3
December 2025				
Investments in quoted equity shares	**667,048**	**667,048**	**-**	**-**
Investments in unquoted equity shares	**320,064**	**-**	**-**	**320,064**
December 2024				
Investments in quoted equity shares	634,896	634,896	-	-
Investments in unquoted equity shares	326,538	-	-	326,538
Interest rate swap	23,107	-	23,107	-

Apart from the above financial instruments, other financial instruments have been carried at amortized cost. At the respective reporting dates, the fair value for these instruments approximates the amortized cost considered for financial reporting and disclosed in the respective schedules.

The initial recognition of the restructured loan facilities from commercial banks at fair value in respect of certain subsidiaries of the Group is based on discounted cash flows using an appropriate discount rate. This fair value is classified as level 3 in the fair value hierarchy due to the use of unobservable inputs (also refer note 25).

41.2 Transfers between Levels

There have been no transfers between the levels during the reporting periods. There were also no changes made during the year ended 31 December 2025 to any of the valuation techniques applied as of 31 December 2024.

42. FINANCIAL RISK MANAGEMENT

Financial risk is inherent in the Group's activities are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Group's continuing profitability. The Group's activities are exposed to a variety of financial risks which mainly include credit risk, liquidity risk and market risk. The Group seeks to minimize the effects of these financial risks by various methods, including derivative financial instruments where appropriate, to hedge risk exposures. The use of financial derivatives is governed by the Group's policies which provide written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. The Group does not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

42.1 Credit risk

Credit risk is the risk that one party will fail to discharge an obligation and cause the other party to incur a financial loss. The Group has established procedures to manage credit exposure including evaluation of customer credit worthiness, formal credit approvals, assigning credit limits, monitoring the outstanding receivable, maintaining receivable ageing details and ensuring the close follow up.

42. FINANCIAL RISK MANAGEMENT (continued)

42.1 Credit risk (continued)

Trade receivables

a) Customer credit risk is managed by each business unit in accordance with the Group's established credit policy and procedures. The Group has a policy of only dealing with creditworthy counterparties. Credit rating information of customers are obtained from independent rating agencies where available, and if not available, the Group uses publicly available information and its own trading records to rate its major customers. The Credit limits are established for all customers based on internal rating criteria. Collateral is generally not required but may be used under certain circumstances as well as letters of credit insurance, post-dated cheques, cash in advance and bank guarantees in certain markets, particularly in lesser developed markets.

Trade receivables are non-interest bearing and generally have a credit period at par with industry norms which range between 30 days to 90 days. Outstanding customer receivables are regularly monitored. A default on a financial asset is generally when the counterparty fails to make contractual payments within 90 days of when they fall due or it becomes probable a customer will enter into a bankruptcy or will not be able to pay the Group's due amounts.

An impairment analysis is performed at each reporting date on an individual basis for major clients, where applicable. In addition, a large number of minor receivables are grouped into homogenous groups and assessed for impairment collectively. Receivables from group companies and secured receivables are excluded for the purposes of this analysis since no credit risk is perceived on them.

The expected credit loss is calculated based on a loss rate methodology. Loss rates are calculated using a 'roll rate' method (provision matrix approach) based on the probability of a receivable progressing through successive stages of delinquency to write-off. Loss rates are based on the default probability calculated on average flow rates of past 12 quarters. The loss rates are adjusted based on factor considering the future economic outlook and the estimated loss giving default (LGD) as per the management judgment (considering the quality of collaterals such as letter of credit, guarantees and other securities, where applicable) applied consistently. Roll rates are calculated separately for exposures in different segments/homogenous populations based on the following common credit risk characteristics – based on the quality to collaterals. This assessment is performed at each subsidiary level and consistent with last year. There have been no significant changes in the quality of collaterals held against financial assets during the reporting period.

b) Changes in assumptions including incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. The Group has used gross domestic product (GDP) growth rate and long-term inflation as their key macroeconomic factors giving equal weightages to each of these, separately for each country from where the receivables is due. The macro-economic factors have been updated based on the latest available information.

The average credit losses of trade receivables of wide range of customers with shared risk characteristics at the Group level is a reasonable estimate of the probability weighted amounts.

c) Concentration risk

The Group evaluates the concentration of risk with respect to trade receivables as low, considering the companies' operations relates to diversified segments. As at 31 December 2025, from geographical concentrations perspective, the Group's receivables are from customers in more than 20 countries, however, major concentration of net receivables was in Saudi Arabia, UAE, and Turkey as cumulatively the receivables from these countries represent more than 60% of the total trade receivables.

(All amounts in SR'000 unless otherwise stated)

42. FINANCIAL RISK MANAGEMENT (continued)

42.1 Credit risk (continued)

Trade receivables (continued)

d) On the basis explained above, the loss allowance for trade receivables as at 31 December 2025 and 31 December 2024 was determined as follows:

2025	**Not yet due**	**Less than 90 days**	**90 - 180 days**	**181- 270 days**	**271-364 days**	**365- 730 days**	**More than two years**	**Total**
Average expected loss rates	**0.40%**	**1.33%**	**5.72%**	**10.21%**	**21.90%**	**16.79%**	**100.00%**	**3.03%**
Gross carrying amount	**876,471**	**86,778**	**15,955**	**9,495**	**5,307**	**11,968**	**21,469**	**1,027,443**
Loss allowance	**(3,491)**	**(1,156)**	**(912)**	**(969)**	**(1,162)**	**(2,010)**	**(21,469)**	**(31,169)**
Net balance	**872,980**	**85,622**	**15,043**	**8,526**	**4,145**	**9,958**	**-**	**996,274**

2024	**Not yet due**	**Less than 90 days**	**90 - 180 days**	**181- 270 days**	**271-364 days**	**365- 730 days**	**More than two years**	**Total**
Average expected loss rates	0.48%	1.18%	4.74%	10.86%	23.55%	69.22%	100.00%	4.73%
Gross carrying amount	1,102,476	121,600	18,762	8,885	7,589	27,881	32,771	1,319,964
Loss allowance	(5,315)	(1,439)	(889)	(965)	(1,787)	(19,299)	(32,771)	(62,465)
Net balance	1,097,161	120,161	17,873	7,920	5,802	8,582	-	1,257,499

Other financial assets

This comprises mainly of deposits with banks, investments in unquoted equity shares, investments in Sukuks, receivables from equity accounted investees and joint ventures, employee home loan receivable, financial guarantee contracts and derivative assets. Credit risk arising from these financial assets is limited as the counterparties are equity accounted investees, banks and recognized financial institutions. Banks and recognized financial institutions have high credit ratings ranging from A- to BBB+ assigned by the international credit rating agencies. In case of employee home loan receivable, the loan is secured against the charge on the property purchased and the impact of applying ECL is immaterial. Trade and non-trade current receivables from related parties have low credit risk and the impact of applying ECL is immaterial. As at year end, the balances were unsecured and there was no default by any of the counter party therefore these are considered as performing.

Loans due from related parties are assessed individually for impairment on an annual basis. The Group applies the general approach for ECL on its other financial assets. Key inputs into the measurement of ECL are probability of default (PD), loss given default (LGD) and exposure at default (EAD). The Group also incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. Also refer note 15.3.

(All amounts in SR'000 unless otherwise stated)

42. FINANCIAL RISK MANAGEMENT (continued)

42.1 Credit risk (continued)

Other financial assets (continued)

The maximum exposure to credit risk at the end of the reporting year is the carrying amount of each class of financial assets mentioned below together with the gross amounts underwritten in financial guarantee contracts disclosed in note 43.2.

Financial Assets	Note	2025	2024
At amortized cost			
Investments in debt securities	14	**176,202**	126,110
Other non-current assets	15	**783,267**	623,760
Accounts receivable	17	**996,274**	1,257,499
Other current assets	18	**350,622**	338,818
Short term investments	19	**-**	486,000
Cash and bank balances	20	**2,018,200**	4,089,652
		4,324,565	6,921,839
At FVOCI			
Derivative financial instruments	15	**-**	23,107

42.2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in raising funds to meet commitments associated with financial instruments that are settled by delivering cash or another financial asset. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value. The Group's objective is to; at all times maintain optimum levels of liquidity to meet its cash and collateral requirements. The Group closely monitors its liquidity position and deploys a robust cash management system. It maintains adequate sources of financing including syndicated and bilateral term loans, overdraft facilities, and working capital facilities, from both domestic and international banks.

The table below analyses non-derivative financial liabilities of the Group by relevant maturity groupings based on the remaining period from the reporting date to the contractual maturity date. The amounts disclosed under the ageing buckets are the contractual undiscounted cash flows and includes contractual future commission payments. Also refer note 25 for details of debt restructuring during year end.

	Payable on demand	Within 1 year	1 to 5 years	Greater than 5 years	Total
2025					
Long-term borrowings	**-**	**2,455,983**	**2,417,959**	**1,716,569**	**6,590,511**
Accounts payable - third party	**-**	**261,232**	**-**	**-**	**261,232**
Lease liabilities	**-**	**26,908**	**111,336**	**33,325**	**171,569**
Payable to related parties-current and non-current	**-**	**828,350**	**1,009,606**	**-**	**1,837,956**
Other current liabilities	**-**	**425,401**	**-**	**-**	**425,401**
Financial guarantees (note 30.1)	**727,900**	**-**	**-**	**-**	**727,900**
	727,900	**3,997,874**	**3,538,901**	**1,749,894**	**10,014,569**
2024					
Long-term borrowings	4,366,859	583,705	4,127,016	107,655	9,185,235
Accounts payable - third party	-	395,936	-	-	395,936
Lease liabilities	-	29,734	125,016	50,760	205,510
Payable to related parties-current and non-current	-	1,271,263	1,016,831	-	2,288,094
Other current liabilities	-	435,194	-	-	435,194
Financial guarantees (note 30.1)	758,400	-	-	-	758,400
	5,125,259	2,715,832	5,268,863	158,415	13,268,369

(All amounts in SR'000 unless otherwise stated)

42. FINANCIAL RISK MANAGEMENT (continued)

42.2 Liquidity risk (continued)

42.2.1 Net debt reconciliation

The calculation of net debt analysed by the management was as follows:

	Cash and bank balances	Short term investments	Long term borrowings	Lease Liabilities	Net Debt
At 31 December 2024	**(4,089,652)**	**(486,000)**	**8,654,994**	**184,834**	**4,264,176**
Repayments	**-**	**-**	**(1,581,671)**	**(41,721)**	**(1,623,392)**
Net cash flows	**2,071,452**	**486,000**	**-**	**-**	**2,557,452**
	2,071,452	**486,000**	**(1,581,671)**	**(41,721)**	**934,060**
Other transactions:					
Addition during the year	**-**	**-**	**-**	**4,540**	**4,540**
Impact of restructuring (note 25)	**-**	**-**	**(2,028,980)**	**-**	**(2,028,980)**
Transferred to liabilities related to assets held for sale	**-**	**-**	**-**	**(2,886)**	**(2,886)**
Finance costs	**-**	**-**	**325,581**	**9,388**	**334,969**
	-	**-**	**(1,703,399)**	**11,042**	**(1,692,357)**
At 31 December 2025	**(2,018,200)**	**-**	**5,369,924**	**154,155**	**3,505,879**

	Cash and bank balances	Short term investments	Long term borrowings	Lease Liabilities	Net Debt
At 31 December 2023	(3,835,581)	(680,000)	6,467,232	171,455	2,123,106
Repayments	-	-	(591,091)	(36,743)	(627,834)
Net cash flows	(254,071)	194,000	-	-	(60,071)
	(254,071)	194,000	(591,091)	(36,743)	(687,905)
Other transactions:					
Addition during the year	-	-	-	33,544	33,544
Acquisitions through business combinations (note 45)	-	-	2,445,298	-	2,445,298
Finance costs	-	-	333,555	16,578	350,133
	-	-	2,778,853	50,122	2,828,975
At 31 December 2024	(4,089,652)	(486,000)	8,654,994	184,834	4,264,176

42.3 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk, commission rate risk, currency risk, and other price risk, such as equity price risk and commodity risk. Financial instruments affected by market risk include borrowings, investments, derivatives, trade and other receivables and accounts payable.

	Note	2025	2024
At FVOCI			
Investments in financial assets designated as FVOCI	13	**987,112**	961,434

(All amounts in SR'000 unless otherwise stated)

42. FINANCIAL RISK MANAGEMENT (continued)

42.4 Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Group is subject to the risk of fluctuations in foreign exchange rates through its normal course of business. The Group monitors the fluctuations in currency exchange rates and charges the effects on the consolidated financial statements accordingly. The Group covers the foreign currency risks by using derivative financial instruments, where appropriate and as per the Group's policies.

The Group mainly deals in Saudi Riyal and USD. The exposure to currency risk primarily arises from transactions denominated in USD, GBP and EUR. For transactions denominated in USD, there is minimal currency risk since the SR to USD exchange rate is pegged and hence not considered.

42.5 Commission rate risk

Commission rate risk is the risk that the value of financial instruments or their associated cash flows will fluctuate due to changes in market commission rates. The Group has no significant floating rate commission-bearing assets but has commission bearing liabilities as at 31 December 2025 and 2024.

The Group has both floating rates and fixed rates borrowings. The Group also manages its borrowings made at floating rates by using floating-to-fixed interest rate caps where appropriate and as per the Group policies. Such interest rate caps have the economic effect of converting borrowings from floating rates to fixed rates. Under the interest rate caps the Group agrees with the counterparty to receive payments on the specified dates when market commission rate exceeds the agreed strike price.

The following table demonstrates the sensitivity to a reasonably possible change in commission rates on floating rates loans and borrowings affected. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings, as follows:

		Gain / (loss) through the consolidated statement of profit or loss	
Currency	**Change in exchange rate**	**2025**	**2024**
6 Months SAIBOR	+100 basis points	**(36,725)**	(69,326)
	-100 basis points	**36,725**	69,326

The Group does not account for any financial liabilities at fair value through profit or loss. Further, the Group does not have any material variable rate financial assets. Therefore, a change in special commission rate of fixed rate financial assets at the reporting date would not affect profit for the year.

42.6 Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group objectives when managing capital are to safeguard the Group ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new shares, or increase or decrease borrowings. The amount of capital (Total equity + net debt) that the Group managed as at 31 December 2025 was SR 14,718 million (2024: SR 16,269 million). Also refer note 25 for details of debt restructuring during the year.

The Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total equity (as shown in the consolidated statement of financial position, including non-controlling interests). The Group is not subject to any externally imposed capital requirements throughout 2025 and 2024.

(All amounts in SR'000 unless otherwise stated)

43. COMMITMENTS AND CONTINGENCIES

43.1 Capital and purchase commitments:

	2025	**2024**
Capital commitments for projects under progress and purchase of property, plant and equipment	**172,140**	150,966

43.2 Letters of Guarantees:

Letters of guarantees issued by banks on behalf of the Group	**63,591**	48,142

43.3 Letters of Credit:

Letters of credit issued by banks in favour of the Group	**78,662**	35,130

43.4 Contingent liabilities:

The Group bears the obligation for tax and zakat liabilities resulting from any final assessments determined by relevant tax authorities pertains to certain subsidiaries sold in prior years. The ultimate outcome of any such final assessments and their timeline are not presently known, however, the management based on its best estimates has provided for such potential obligations in the consolidated financial statements.

The Group is involved in legal litigation claims in the ordinary course of business, which are being defended; there are also some claims under the process of final settlement. The ultimate results of these claims cannot be determined with certainty as at the date of preparing the consolidated financial statements; the Group's management does not expect that these claims will have a material adverse effect on the Group's consolidated financial statements.

44. NON-CASH TRANSACTIONS

Following non-cash transactions were recorded during the year:

(i) The transfer of SR 0.4 million (2024: SR 24.7 million) from projects under progress to property, plant and equipment and Intangible assets.

(ii) Additions to right-of-use assets and lease liabilities of SR 4.5 million in 2025 (2024: SR 33.5 million).

(iii) Loss of SR 28.6 million (2024: gain of SR 5.0 million) was recognized in respect of re-measurement of defined benefit plans.

(iv) Gain of SR 49.2 million (2024: loss of SR 67.6 million) was recognized in respect of investments in equity instruments designated as FVOCI.

(v) Finance cost and other directly attributable expenses amounting to SR 9.8 million (2024: SR 12.3 million) were capitalized as part of projects under progress (refer note 9).

(vi) Receivable under forward sale agreement amounting to SR 57 million (2024: nil) was transferred to other non-current assets from other current assets based on the change in settlement period.

(vii) Tronox loan amounting to SR nil (2024: SR 38.5 million) was transferred from provisions and other non-current liabilities to accruals, provisions and other current liabilities based on the settlement period. Furthermore, Tronox loan amounting to SR 41.4 million (2024: SR 255.6 million) was settled against the chloride slag sales to Tronox.

(viii) Financial guarantee amounting to SR nil (2024: SR 36.2 million) was adjusted upon acquisition of SAPCO. Also refer note 45.

(All amounts in SR'000 unless otherwise stated)

45. ACQUISITION OF SAMCO

On 31 December 2024, a subsidiary of the Group, SAAC completed the acquisition of 25% of the shares of SAMCO, increasing its interest in SAMCO from 75% to 100%, and thereby obtained control over SAMCO, having previously been a joint venture. The acquisition was accounted for using the acquisition method under IFRS 3 – Business Combinations with SAAC being the acquirer and SAMCO being the acquiree resulted in SAMCO becoming a 100% owned subsidiary of the Group. The Group acquired SAMCO with an objective to increase the integration of the Group's Acrylic business as an integrated unit. Management believes that the acquisition will result in synergies, representing value chain capture through integration, enhanced marketing and sales opportunities and future customer relationships.

The net assets of SAMCO recognized in the 31 December 2024 financial statements were based on a provisional assessment of their fair value while the Group sought an independent valuation for the property, plant and equipment owned by SAMCO. The valuation had not been completed by the date the 2024 financial statements were approved for issue by the Board of Directors. During 2025, the valuation exercise of SAMCO net assets was completed resulting in a decrease of SR 250 million in the provisional fair value of property, plant and equipment with a corresponding adjustment to the bargain purchase gain. In compliance with relevant accounting standards, 2024 comparative information was revised to reflect the adjustments to the provisional amounts.

The fair values of the identifiable assets acquired, and liabilities assumed of SAMCO as of acquisition date were as follows:

	Note	Fair values
Assets		
Property, plant, and equipment		1,636,485
Projects under progress		848
Intangible assets		1,539
Inventories		147,905
Account receivable	(a)	43,768
Prepayments and other current assets		1,644
Cash and bank balances		233,191
		2,065,380
Liabilities		
Long-term Borrowings		2,445,298
Less: Financial guarantee already recorded	(b)	(36,232)
Accounts payable		37,624
Accruals, provision and other current liabilities		18,212
Zakat and income tax payable		13,199
		2,478,101
Total identifiable net liabilities assumed at fair value		**(412,721)**
Purchase consideration	(c)	**730,065**
Bargain purchase gain	(d)	**317,344**
Loss on fair valuation of existing interest in SAMCO	(e)	**(416,109)**
Net loss on business acquisition		**(98,765)**

(a) The acquisition date fair value and gross trade receivables amount to SR 43.8 million.

(b) This represents settlement of financial guarantee provided by the Group to Saudi Industrial Development Fund (SIDF) against the loan provided to SAMCO, before acquisition, in its capacity as shareholder.

(c) Purchase consideration:

Cash paid	-
Settlement of pre-existing relationships	761,259
Fair value of existing interest in SAMCO	(31,194)
Total	**730,065**

(d) The provisional gain on bargain purchase is primarily attributable to the settlement of pre-existing relationships between the Group and SAMCO.

(e) This represents impairment loss recorded on account of remeasurement of existing interest at the time of acquisition.

(All amounts in SR'000 unless otherwise stated)

45. ACQUISITION OF SAMCO (continued)

Analysis of cash flows on acquisition:

	2024
Net cash and bank balances acquired with the subsidiary	233,191
Less: Restricted bank deposits (note 20)	(97,593)
Cash paid	-
Net cash flow on acquisition	**135,598**

Impact on Group Results

From the date of acquisition to 31 December 2024, SAMCO has contributed SR nil of revenue and a loss of SR nil to profit before zakat and income tax of the Group for the year ended 31 December 2024. If the acquisition had taken place at the beginning of the year, revenue would have been SR 4,249.7 million and the loss before zakat and income tax for the year would have been SR 14.5 million.

Acquisition-related costs are included in general and administrative expenses in Group's consolidated statement of profit or loss for the year ended 31 December 2024 and are part of operating cash flows in the consolidated statement of cash flows.

Impact of measurement period adjustments

During 2025, the valuation and Purchase Price Allocation ('PPA') exercise was completed for SAMCO acquisition resulting in changes in the comparatives consolidated financial statements for the year ended 31 December 2024 as explained below:

31 December 2024
Consolidated Statement of Financial Position (extracts)

	As reported	**Impact of changes**	**Revised**
ASSETS			
Property, plant and equipment	5,435,921	(250,000)	**5,185,921**
Total assets	26,375,951	(250,000)	**26,125,951**
EQUITY			
Retained earnings	2,944,669	(130,731)	**2,813,938**
Non-controlling interests	2,364,288	(119,269)	**2,245,019**
Total equity	12,018,466	(250,000)	**11,768,466**

Consolidated Statement of Profit or Loss (extracts)

	As reported	**Impact of changes**	**Revised**
Gain on business combinations	413,735	(96,391)	**317,344**
Loss on fair valuation of existing interest	(262,500)	(153,609)	**(416,109)**
Gain / (loss) on business combination	151,235	(250,000)	**(98,765)**
Loss for the year	(27,632)	(250,000)	**(277,632)**
Attributable to:			
Equity holders of parent	102,802	(130,731)	**(27,929)**
Non-controlling interests	(130,434)	(119,269)	**(249,703)**
	(27,632)	(250,000)	**(277,632)**
Basic and diluted earnings per share (SR)			
From profit / (loss) attributable to equity holders of parent	0.16	(0.20)	**(0.04)**

(All amounts in SR'000 unless otherwise stated)

46. DISCONTINUED OPERATIONS

During the year ended 31 December 2025, the Group has received a binding offer for the sale of RITC and its subsidiaries ('RITC Group'). Following the acceptance of the binding offer by the Board of the Group, RITC Group has been classified as 'held for sale' and presented as 'discontinued operations' since they meet the criteria as defined in IFRS 5 'Non-current Assets Held for Sale and Discontinued Operations'.

The assets and liabilities of these subsidiaries are therefore presented separately as 'held for sale' in these consolidated financial statements. These are measured at lower of their carrying amount and fair value less costs to sell and depreciation is ceased on relevant assets from the date of their classification as 'held for sale'. The transaction is subject to customary conditions and regulatory approvals, and the closing is expected to be in the course of 2026.

The financial performance presented below refers to the discontinued operation for the years ended 31 December 2025 and 31 December 2024:

	2025	**2024**
Revenue	**858,672**	876,585
Cost of revenue	**(716,609)**	(735,171)
Gross profit	**142,063**	141,414
Operating and other expenses	**(108,976)**	(87,574)
Finance costs, net	**2,338**	321
Profit before zakat from discontinued operations	**35,425**	54,161
Zakat	**(10,274)**	(6,725)
Profit for the year from discontinued operations	**25,151**	47,436
Attributable to:		
Equity holders of parent	**25,151**	47,436
Basic and diluted earnings per share (SR)		
For profit from discontinued operations	**0.04**	0.07

The cash flow information presented below refers to the discontinued operation for the years ended 31 December 2025 and 31 December 2024:

	2025	**2024**
Net cash inflow from operating activities	**71,089**	80,674
Net cash used in investing activities	**(10,492)**	(9,626)
Net cash used in financing activities	**(34,764)**	(54,559)
Net increase in cash and cash equivalents	**25,833**	16,489

The carrying amounts of assets and liabilities of disposal group classified as held for sale as at 31 December 2025 were:

	2025
Assets classified as held for sale	
Property, plant and equipment, project under progress, right-of-use assets and intangible assets (note 8, 9, 10 and 11)	**600,100**
Inventories	**135,627**
Accounts receivable	**213,062**
Due from related parties – trade (note 39.2)	**6,185**
Due from related parties – non-trade (note 39.2)	**2,159**
Prepayments and other current assets	**18,886**
Cash and bank balances	**126,324**
Total assets	**1,102,343**
Liabilities related to assets classified as held for sale	
Employee benefits obligations	**40,671**
Other current and non-current liabilities	**212,160**
Due to related parties (note 39.2)	**74,996**
Accounts payable	**60,841**
Total liabilities	**388,668**
Net assets	**713,675**

47. EVENTS AFTER THE REPORTING DATE

No material events have occurred subsequent to the reporting date and before the issuance of these consolidated financial statements which require adjustment to, or disclosure, in these consolidated financial statements expect for the matters highlighted below:

(a) On 01 March 2026, the Group has announced signing of a Share Purchase Agreement ("SPA") with Saudi Holding Company for Conversion Industries ("Tahweel") to acquire RITC Group for SR 700 million, also refer note 46.

(b) The Group has decided to initiate procedures to idle Furnace 1 of Ilmenite Titanium Smelter Complex (Slagger plant) in Jazan owned by ASIC. For over four years, furnace 1 has been operating safely and producing quality titanium chloride slag and high-purity pig iron serving the domestic and global markets .The action is driven by adverse market dynamics due to unprecedented extended downturn in the global TiO_2 markets impacting the demand for titanium chloride slag continuing pressure on selling prices and adverse impact of higher power tariff impose during 2025 on the operating costs. Also refer note 8.4.

(c) Subsequent to the reporting date, there have been geopolitical developments in the region causing business and economic disruptions, such as disruption to international trade routes, increased freight costs impacting exports. The conflict may lead to increase in raw material prices, energy-related costs and war-risk insurance premiums, which may affect the Group's margins. Considering the rapidly evolving circumstances, management is currently unable to estimate the possible financial impacts on the Group' results at the date of authorization of these financial statements. The resulting impacts will be reflected, if any, in the ensuing quarterly financial reporting, as appropriate.

48. CLIMATE CHANGE

Global climate change is already having observable effects on the environment around the world, and Group's management recognizes the effects that it will have at both global and regional levels. Management has implemented a Policy and Values for Petrochemical Products guide, which drives pollution prevention and environmental management initiatives. This policy, along with management's strategy, are underpinned by the use of the Best Available Techniques when new permits are issued. This helps management to systematically identify and monitor pollution and raise awareness amongst staff and also includes a commitment to the prevention of any form of pollution. The impact of climate change on the consolidated financial statements is a high-profile issue. Investors and regulators are increasingly looking for evidence of how the entity has incorporated Environmental, Social and Governance ("ESG") matters and in particular climate-related risk factors when making estimates and judgements in the preparation of the consolidated financial statements. Climate-related risk could include both transition impacts, for example additional costs incurred by the Group as a result of transitioning to a low-carbon economy, or physical impacts, such as damage to assets. There was no material impact of ESG factors on the amounts and disclosures in the consolidated financial statements or the going concern of the Group. Management will keep monitoring changes in regulations and technologies and complying with disclosure requirements as new developments arise in the future.

49. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were approved from the Board of Directors on **12 March 2026.**